

ARC Research

Global Macro & AI Research

Weekly market update

The AI unwind · Nov 2–6, 2026 · Data as of Nov 6 close

Educational purposes only, not investment advice

AGENDA

Four sections: the break, the rotation, the why, Asia

01	**The Nov 5 break**	Midterms, crash, forced selling, RSI and trend	Slides 6–15
02	**The rotation**	Sectors, breadth, small caps, history, then vs now	Slides 16–26
03	**Is it fundamental?**	Earnings, Airbnb, capex, rates, gold, AI	Slides 27–45
04	**Global: Asia**	India flows and sectors, Korea, Japan	Slides 46–51

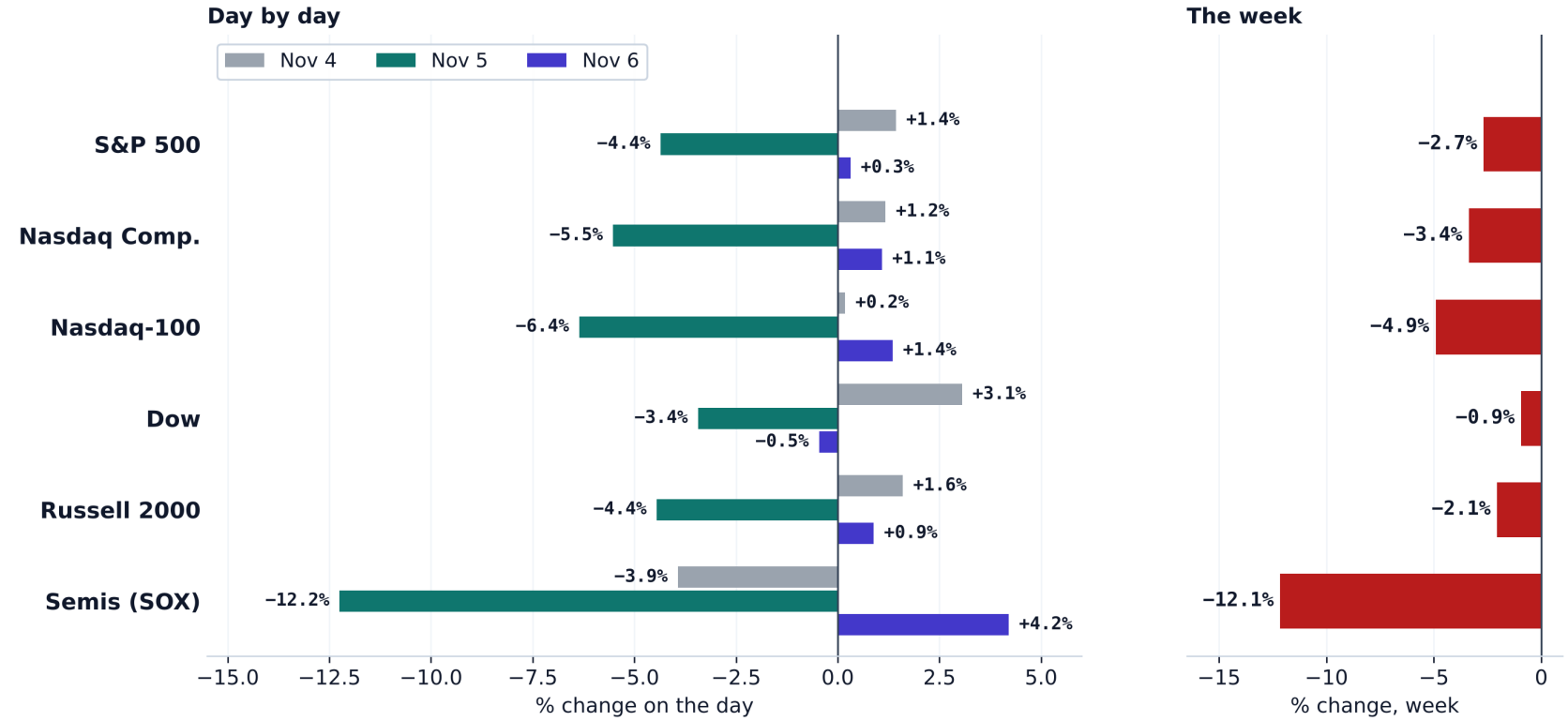
THREE DAYS IN ONE CHART

Election rally, AI crash, partial bounce

ARC RESEARCH | WEEKLY MARKET UPDATE | THE WEEK IN ONE CHART

Election rally, AI crash, partial bounce: chips -12% on the week

Left: daily % change, Nov 4-6. Right: full week, Oct 30 close to Nov 6 close



Source: Yahoo Finance daily closes to Nov 6, 2026. Price returns, our calculation. SOX = PHLX Semiconductor index.

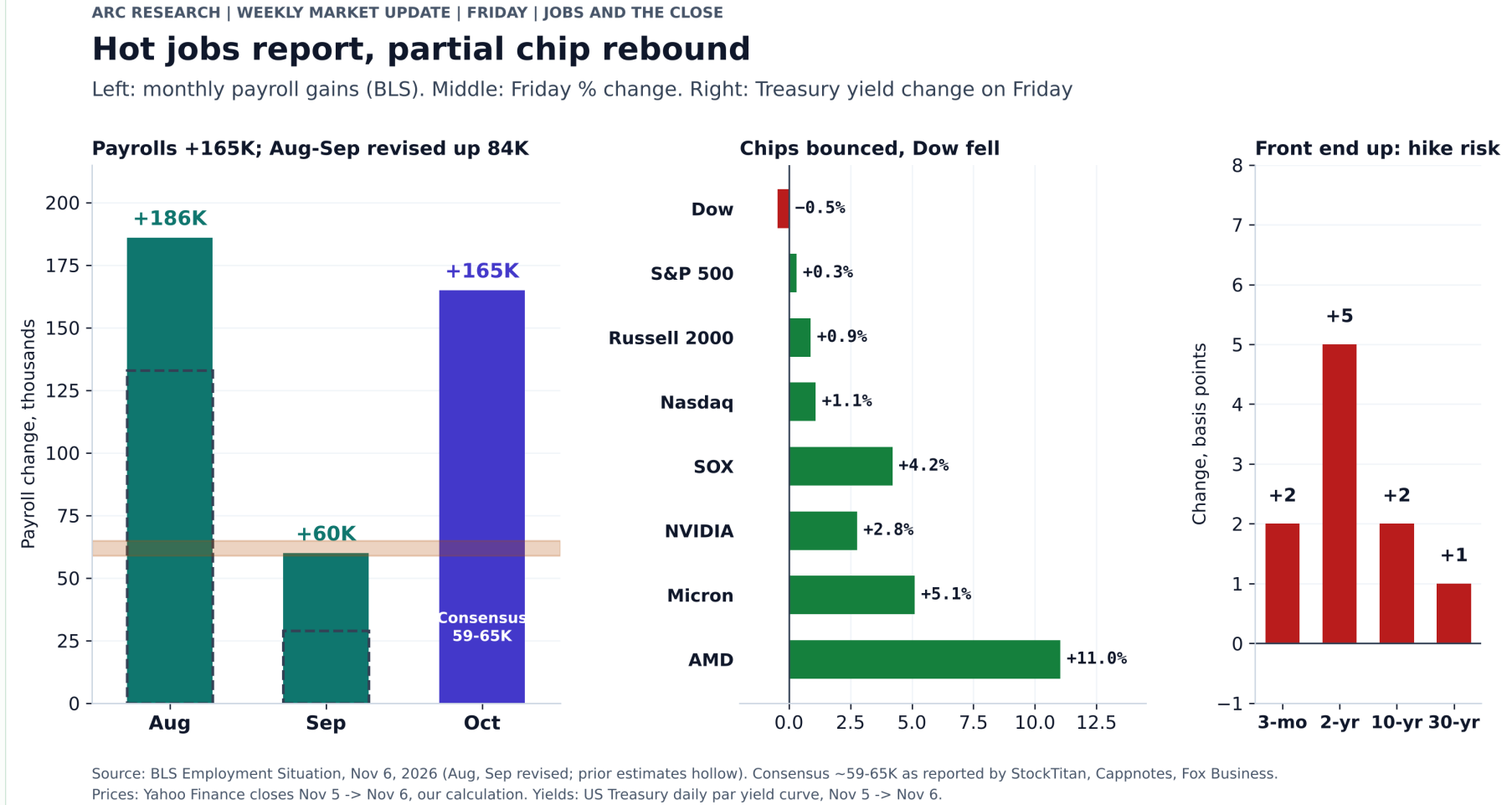
SO WHAT

Nov 4: Dow +3.1%, chips slipping

Nov 5: chips −12%, Nasdaq-100 −6.4%

Week: chips −12.1%, S&P −2.7%

Hot jobs report, partial chip rebound



Source: BLS Employment Situation, Nov 6, 2026 (Aug, Sep revised; prior estimates hollow). Consensus ~59-65K as reported by StockTitan, Cappnotes, Fox Business.
Prices: Yahoo Finance closes Nov 5 -> Nov 6, our calculation. Yields: US Treasury daily par yield curve, Nov 5 -> Nov 6.

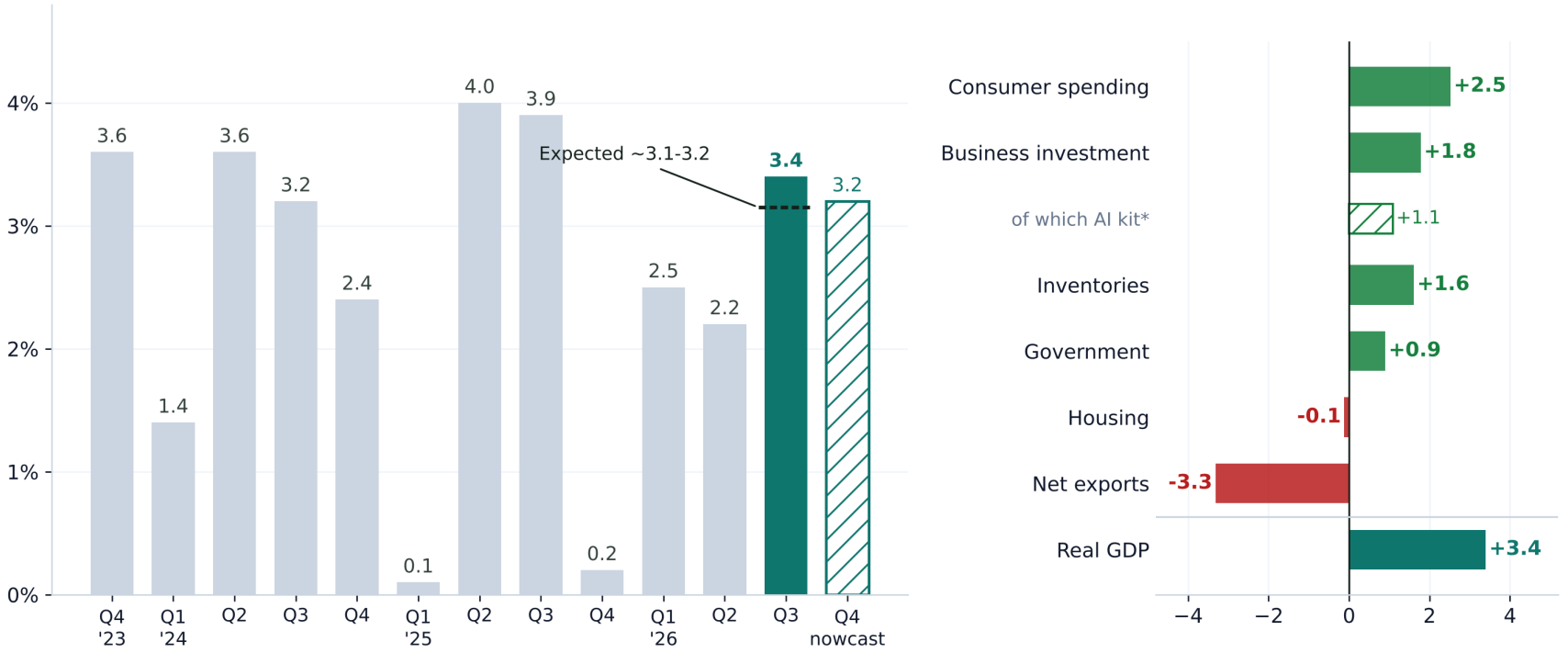
SO WHAT

+165K jobs vs ~60K expected

2-yr +5bp: hike risk up

Chips won back about a third

GDP +3.4% in Q3, ahead of forecasts



Source: BEA advance estimate, Oct 29, 2026, and BEA series via FRED (current vintage); expectations: CNBC (3.1%) via Just the News, Trading Economics (3.2%); Q4 nowcast: Atlanta Fed GDPNow, Oct 28. *AI kit = information processing equipment plus software (BEA categories; our grouping).

SO WHAT

Private demand strong: +4.9%

AI kit added ~1.1 points; imports took much back

Core PCE 2.5%: no case for cuts

SECTION 1 OF 4

The Nov 5 break

A fragile AI trade met the midterm result

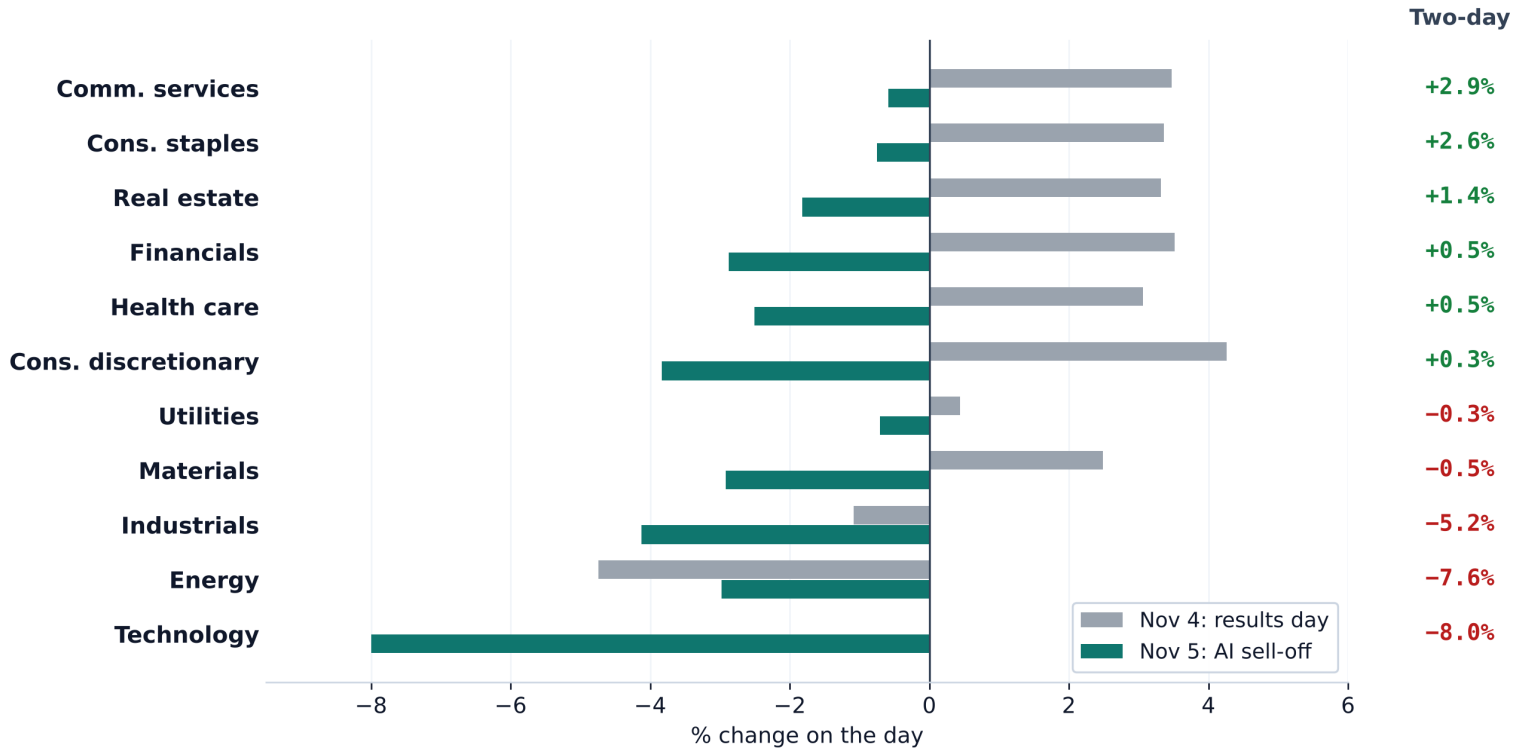
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8 Chips vs the indexes
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10 Who sold, who bought
11 The volatility spike
12 Nasdaq below its 200-day
13 RSI, 50-day and past breaks
14 Weakness since summer
15 Levels to watch

Rally on the result, then AI sold off

ARC RESEARCH | WEEKLY MARKET UPDATE | THE NOV 5 BREAK | MIDTERMS

Results day lifted most stocks; day two sold AI

Sector SPDR ETF % change: Nov 4 (results day) and Nov 5 (AI sell-off), sorted by the two-day total



Source: Yahoo Finance closes, Nov 3 (election day) to Nov 5; our calculation. ETFs proxy GICS sectors.
Election outcome: ABC News projects Democrats gain control of the House and Senate (Nov 4). Policy reading is press-reported (Fox Business, Nov 6).

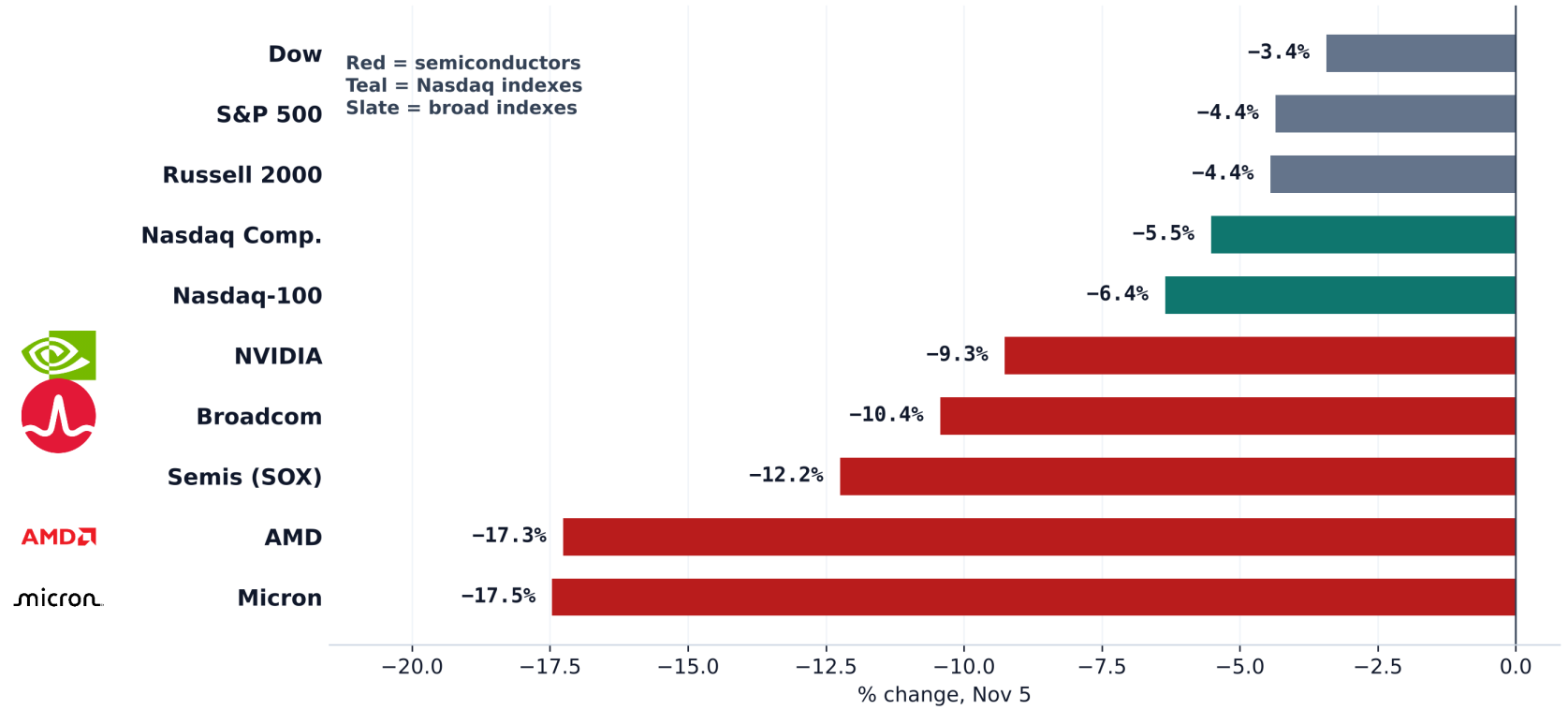
SO WHAT

Democrats projected to take both chambers

Fear: AI rules, data-center limits

Tech −8.0%, energy −7.6% in 2 days

Chips fell twice as hard as the Nasdaq



Source: Yahoo Finance daily closes to Nov 6, 2026. Price returns, Nov 4 close to Nov 5 close. Market-cap loss (~$2.3T, Nasdaq-100) is Bloomberg-reported, not ours.

SO WHAT

Micron −17.5%, AMD −17.3%

~$2.3T off the Nasdaq-100

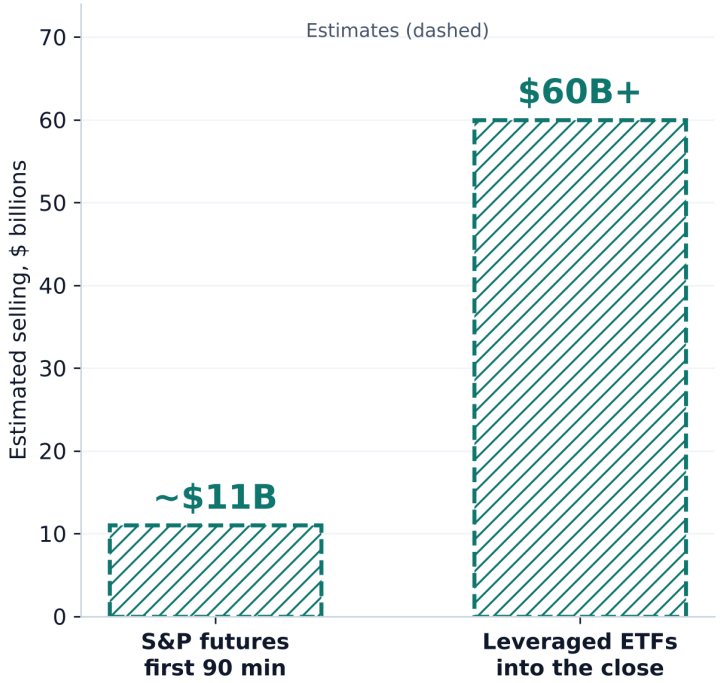
All 11 sectors fell

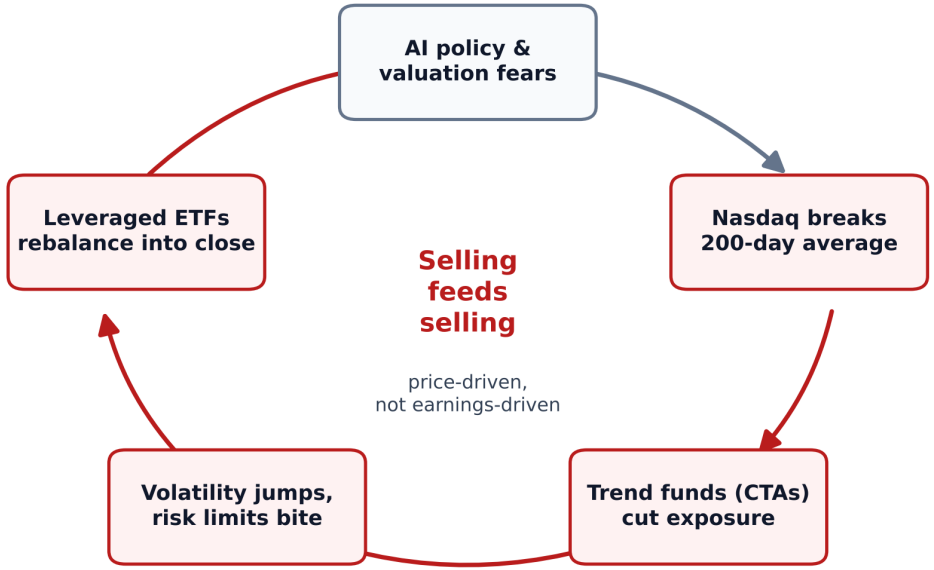
Rules-based selling turned a drop into a rout

ARC RESEARCH | WEEKLY MARKET UPDATE | THE NOV 5 BREAK | MECHANICS

Rules-based selling turned a drop into a rout

JPMorgan's estimate of systematic selling on Nov 5, and the loop that drives it





Source: JPMorgan derivatives strategy (Bram Kaplan), as reported by Bloomberg, Nov 6, 2026. Desk estimates, not reported trades.
Leveraged-ETF figure: about 90% tech. CTA = commodity trading adviser (trend-following fund).

SO WHAT

~$11B futures sold in 90 min

$60B+ leveraged-ETF selling

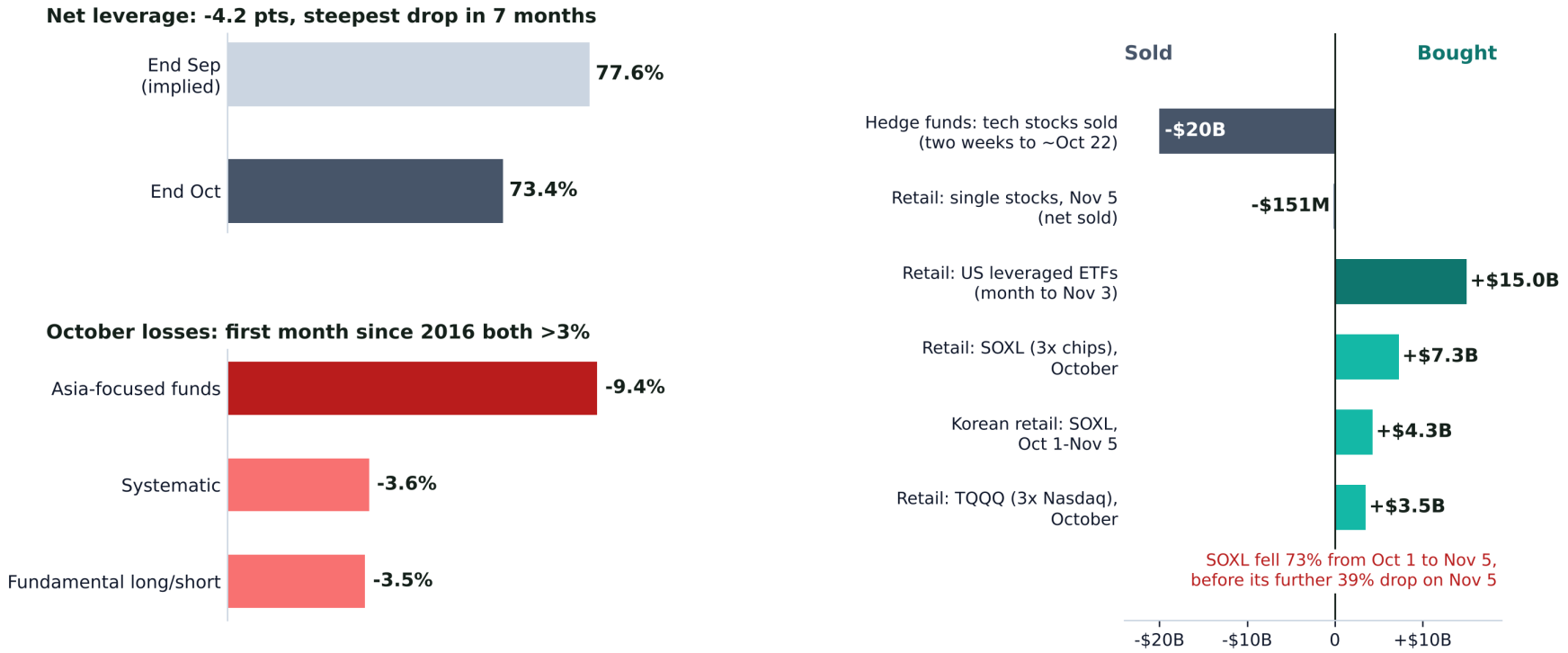
Tech hedge funds −4%+

Hedge funds cut their books; retail bought with leverage

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Hedge funds cut their books; retail bought the dip with leverage

Left: Goldman Sachs prime-book net leverage, and October hedge fund returns. Right: who sold and who bought, $bn (periods differ, labeled)



Source: Goldman Sachs prime brokerage data via Hedgeweek (Nov 4, 2026); Bloomberg via Cardano Capital (Nov 3; ETF flows); Korea Securities Depository via Seoul Economic Daily (Nov 6); Vanda Research via IBTimes/WSJ (Nov 6). September net leverage = October level plus the reported 4.2-point drop (our arithmetic).

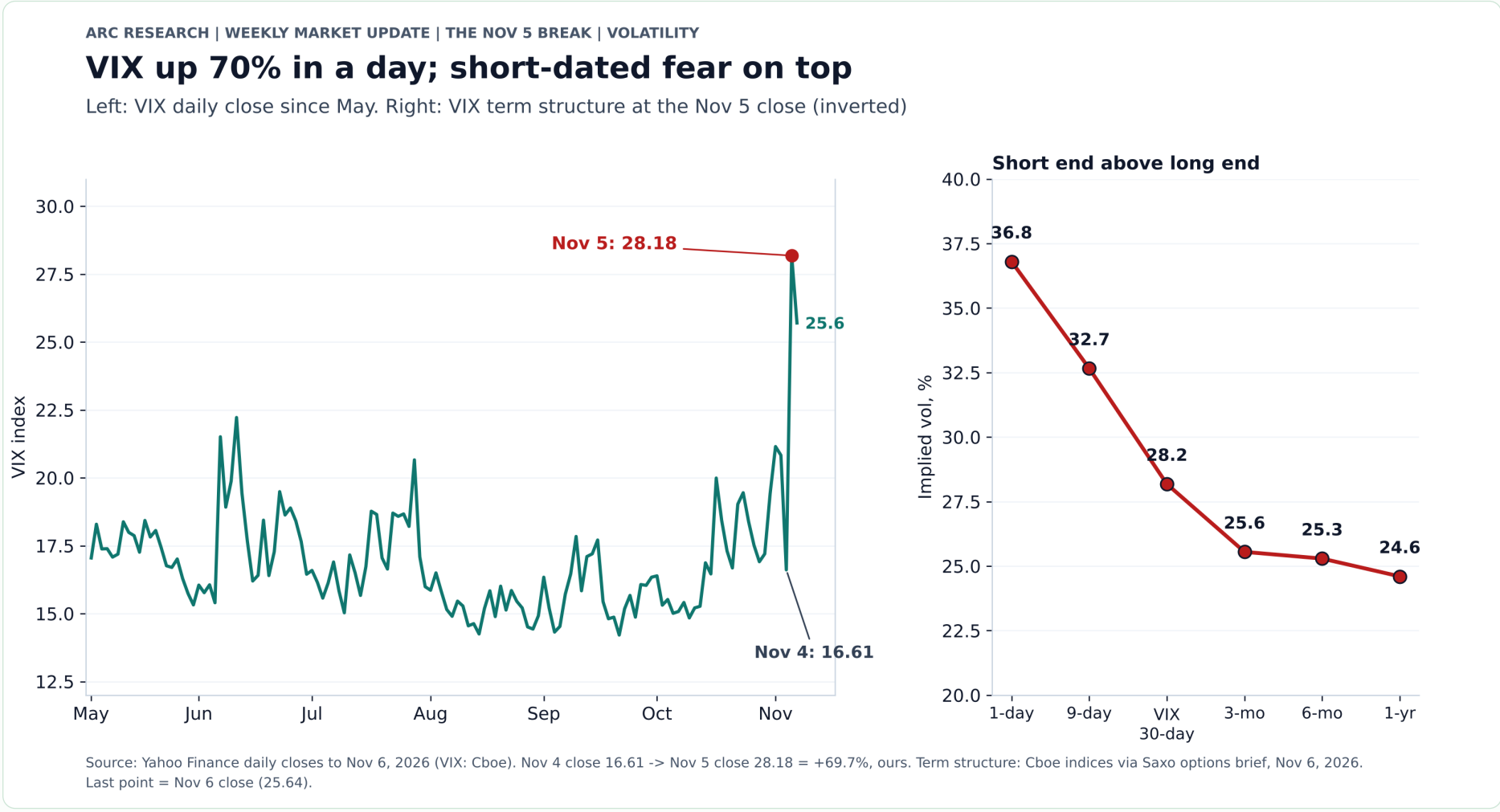
SO WHAT

Hedge funds: net leverage −4.2 pts, ~$20B of tech sold

Retail: ~$15B into leveraged ETFs in a month

But on Nov 5, retail sold single stocks

VIX up 70% in a day; the curve inverted



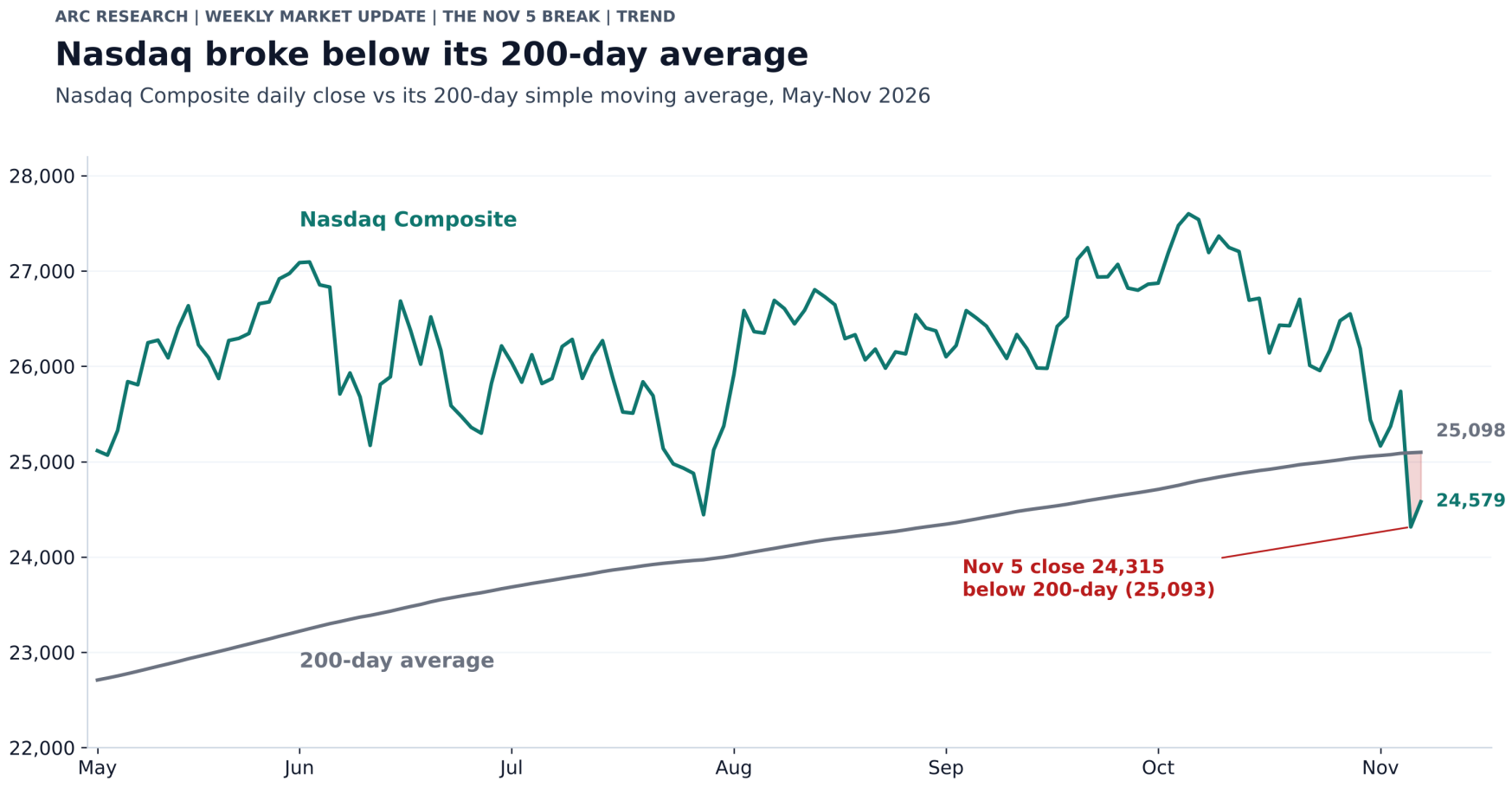
SO WHAT

16.61 → 28.18 in a day

Short-dated fear on top

Eased to 25.6, still high

Nasdaq broke below its 200-day average



SO WHAT

Close 24,315 vs 25,093

Still below on Friday

Reclaim = first repair sign

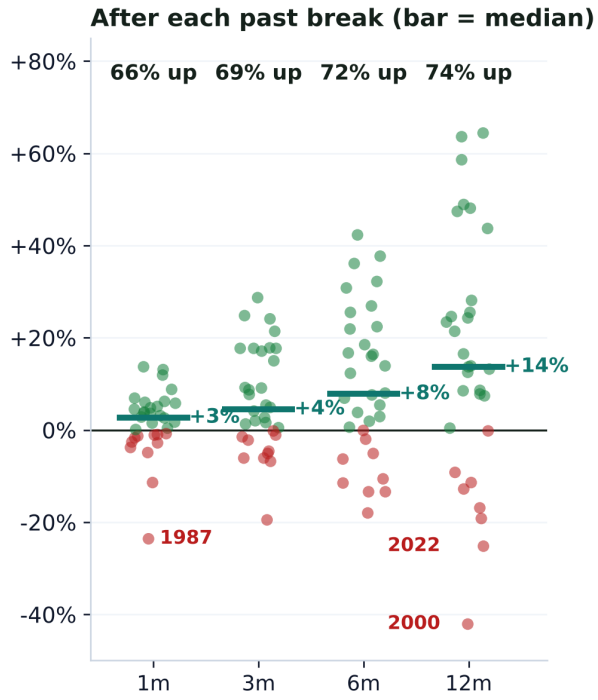
Oversold; past breaks mostly recovered

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Nasdaq is oversold; most past breaks recovered within a year

Left: Nasdaq Composite, 50- and 200-day averages and 14-day RSI, May-Nov 2026. Right: the 32 past 200-day breaks since 1972





Source: Yahoo Finance daily closes to Nov 6, 2026 (^IXIC since 1971); averages, RSI(14, Wilder), returns = our calculations. Break = first close below the 200-day after 120+ sessions above. Price returns from the break-day close. Past results do not predict future returns.

SO WHAT

RSI hit 30: oversold

8% below 50-day: deeper than 25 of 32 past breaks

After past breaks: +14% median a year on; 2000, 2022 the exceptions

Weakness built up since summer



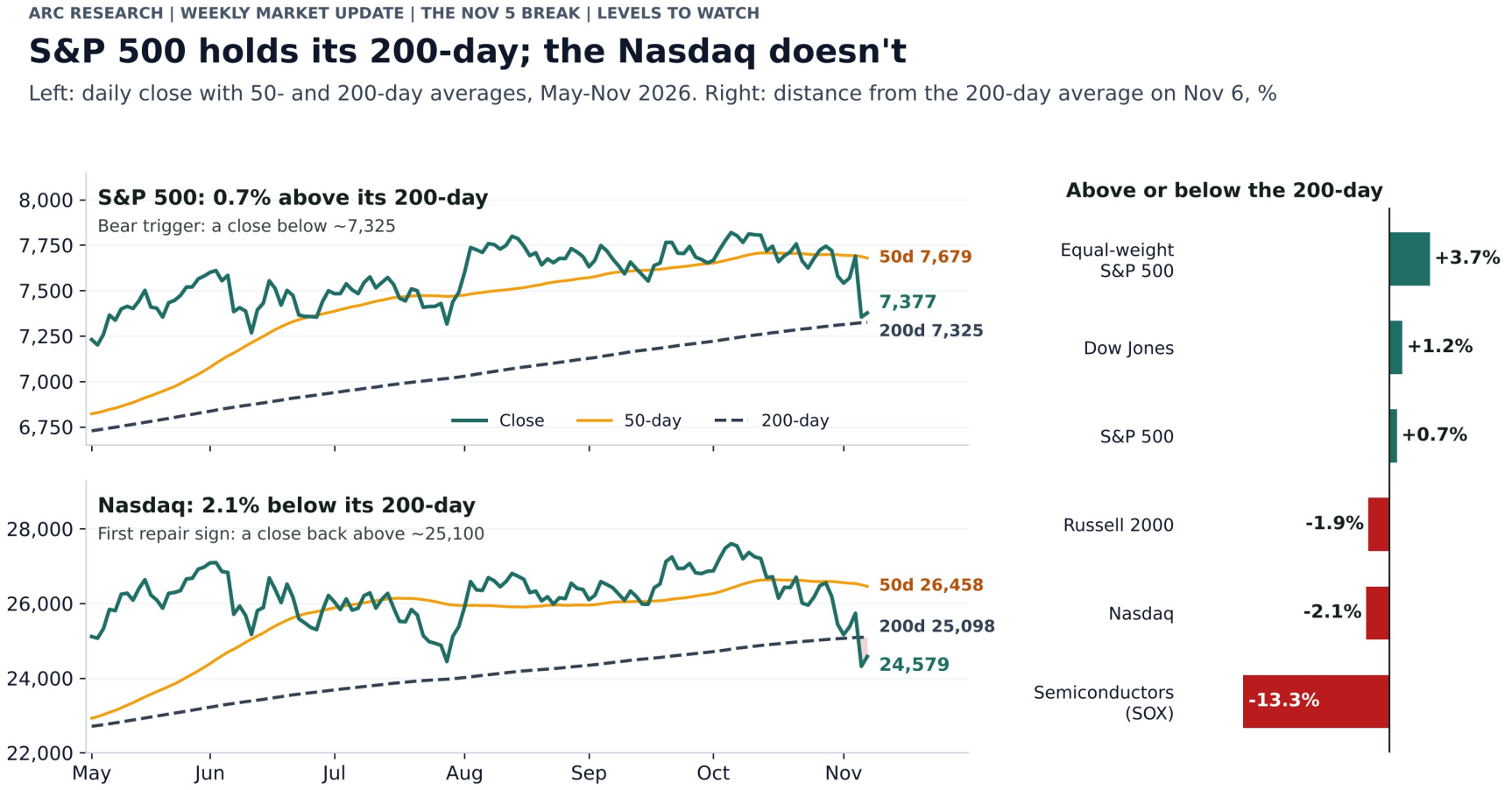
SO WHAT

New Nasdaq high, weaker RSI

Chips: lower highs, lower lows

Semis vs S&P −37% since June

S&P holds its 200-day; Nasdaq doesn’t



LEVELS

S&P 200-day: ~7,325

Nasdaq 200-day: ~25,100

VIX: below 20 calm, above 28 stress

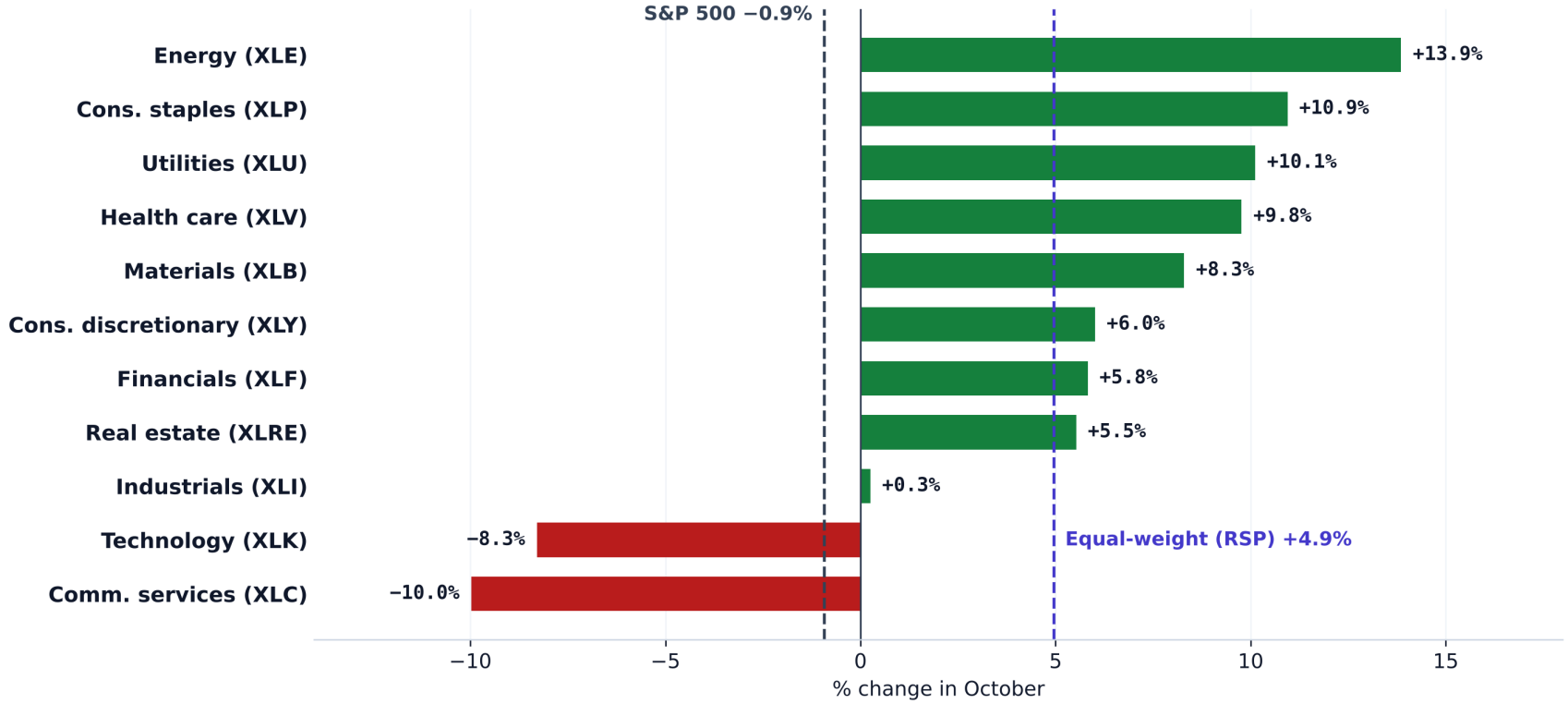
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The rotation

Money left AI megacaps weeks before the crash

17 October sector returns
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25 Trend strength: RSI and 50-day
26 Then vs now: early-2026 sell-off

October: money left tech for defensives



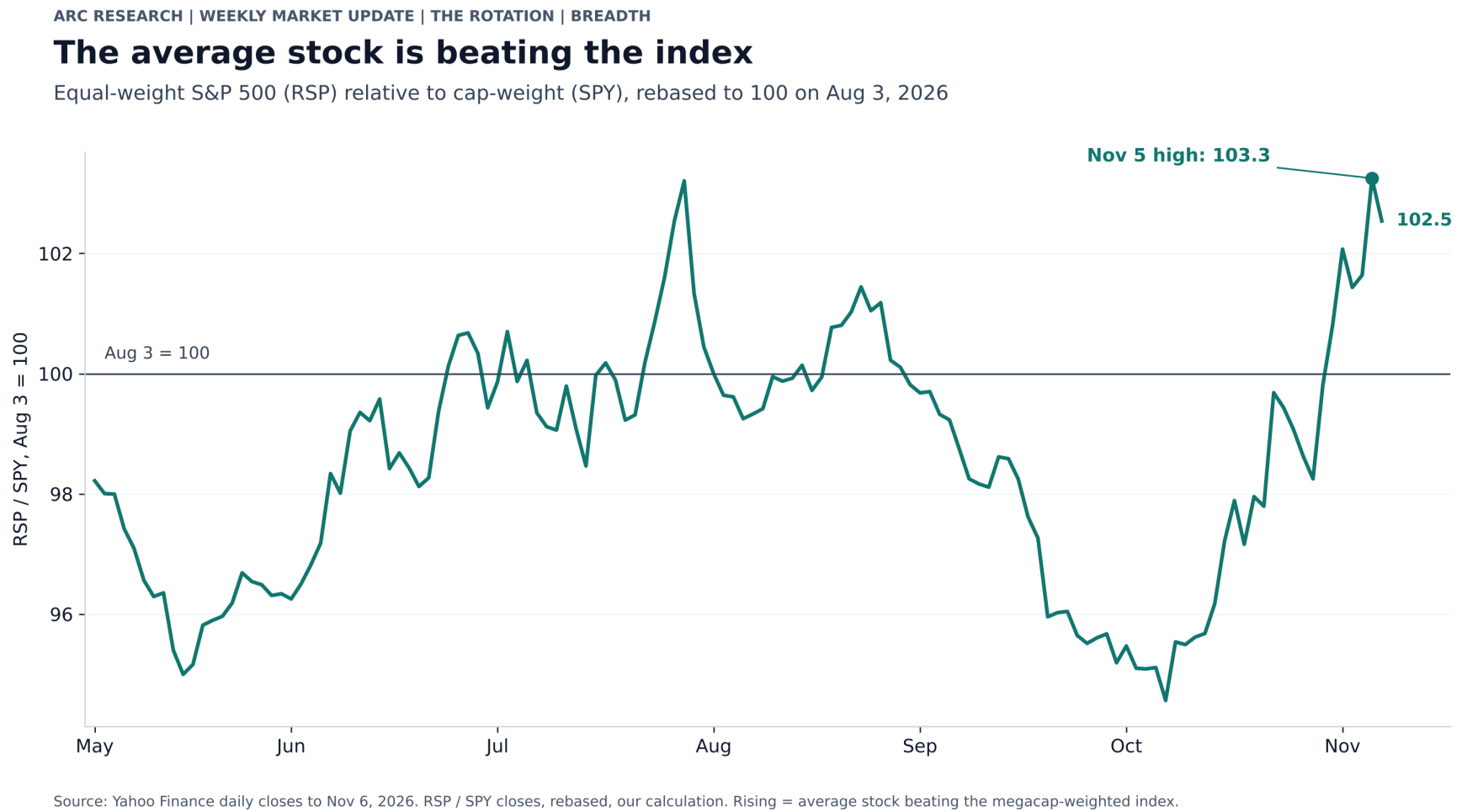
SO WHAT

9 of 11 sectors up

Tech −8.3%, comm. −10.0%

Equal-weight +4.9% vs −0.9%

The average stock is beating the index



SO WHAT

+9% vs SPY since Oct 7

Ratio rose on the crash day

Breadth over megacaps

Small caps missed the rotation



Source: Yahoo Finance daily closes to Nov 6, 2026 (^RUT, ^GSPC, ^IXIC, RSP); averages and returns = our calculations (Russell closes since 1987).
Equal-weight S&P 500 = Invesco RSP ETF. Price returns, closes.

SO WHAT

–10% from Aug record: a correction

Back below its 200-day

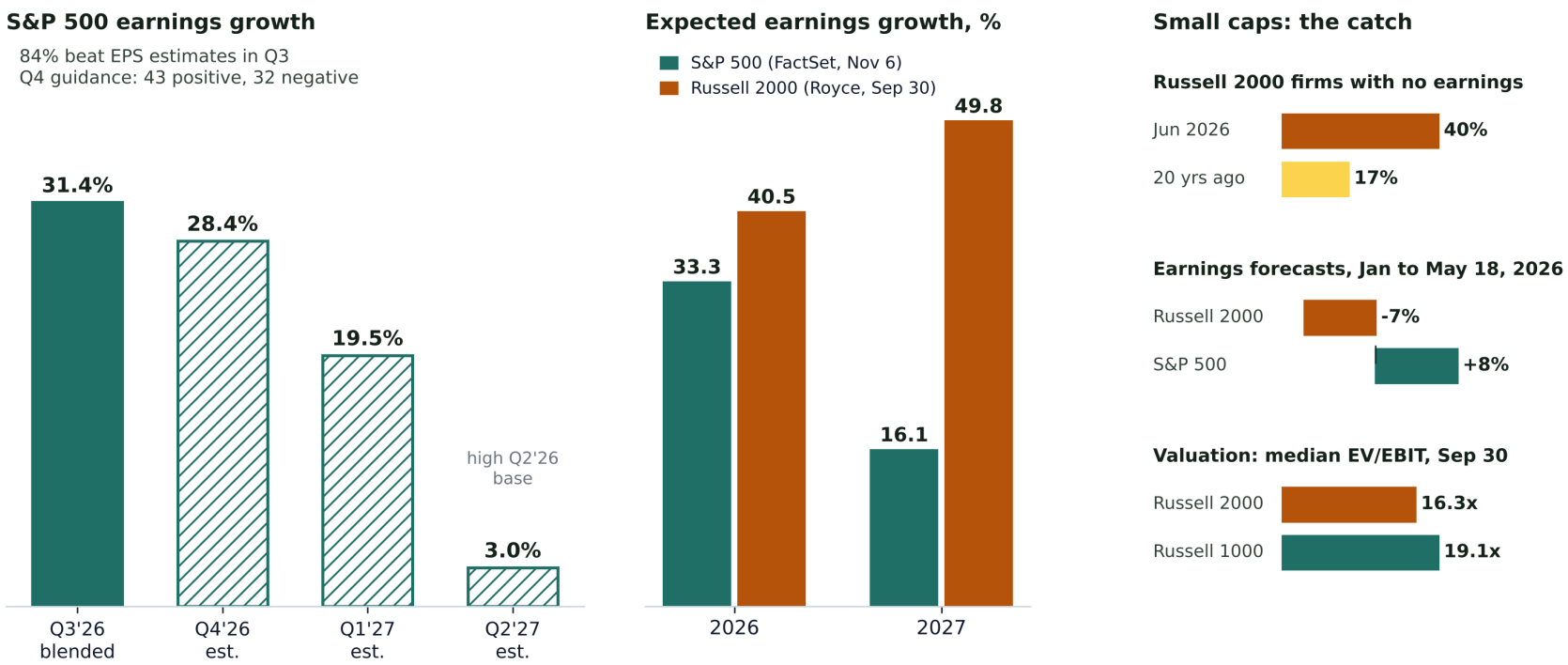
Fell as much as the S&P on Nov 5

Large-cap growth slows; small caps lean on a low base

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Large-cap profit growth slows; small-cap hopes rest on a low base

Left: S&P 500 earnings growth, % y/y (Q3 actual, then estimates). Middle: expected growth by year. Right: small-cap quality checks



Source: FactSet Earnings Insight (Nov 6, 2026; S&P 500, 88% reported); Royce Investment Partners chartbook (Sep 30, 2026; Russell 2000 consensus, provider not named, low earnings base); Morningstar via IBTimes UK (Jun 4, 2026; unprofitable share, revisions through May 18). Sources and methods differ across panels; small-cap Q4 estimates not found.

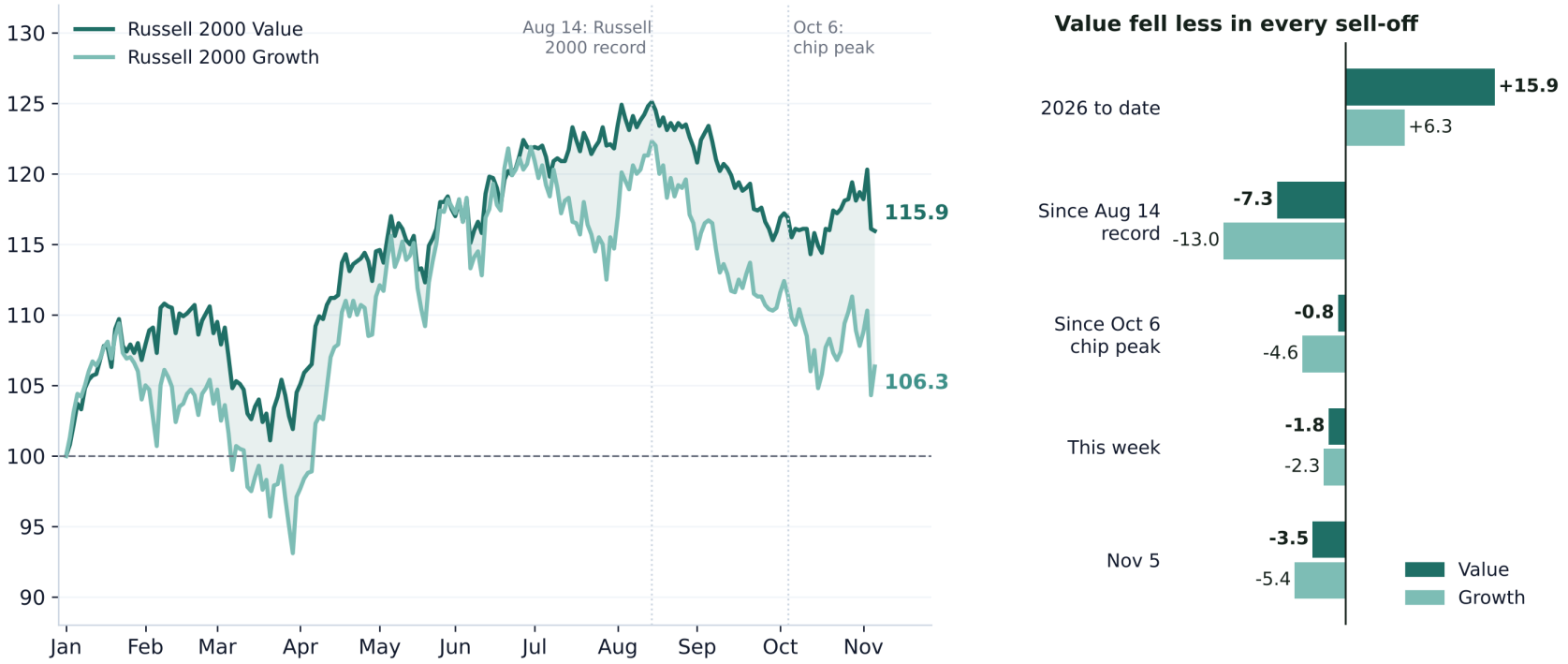
SO WHAT

S&P 500: +31% in Q3, +28% expected Q4, slowing in 2027

Russell 2000: big growth forecast, from a low base

~40% of small caps earn nothing; forecasts were cut

Small-cap value beat growth by nearly 10 points this year



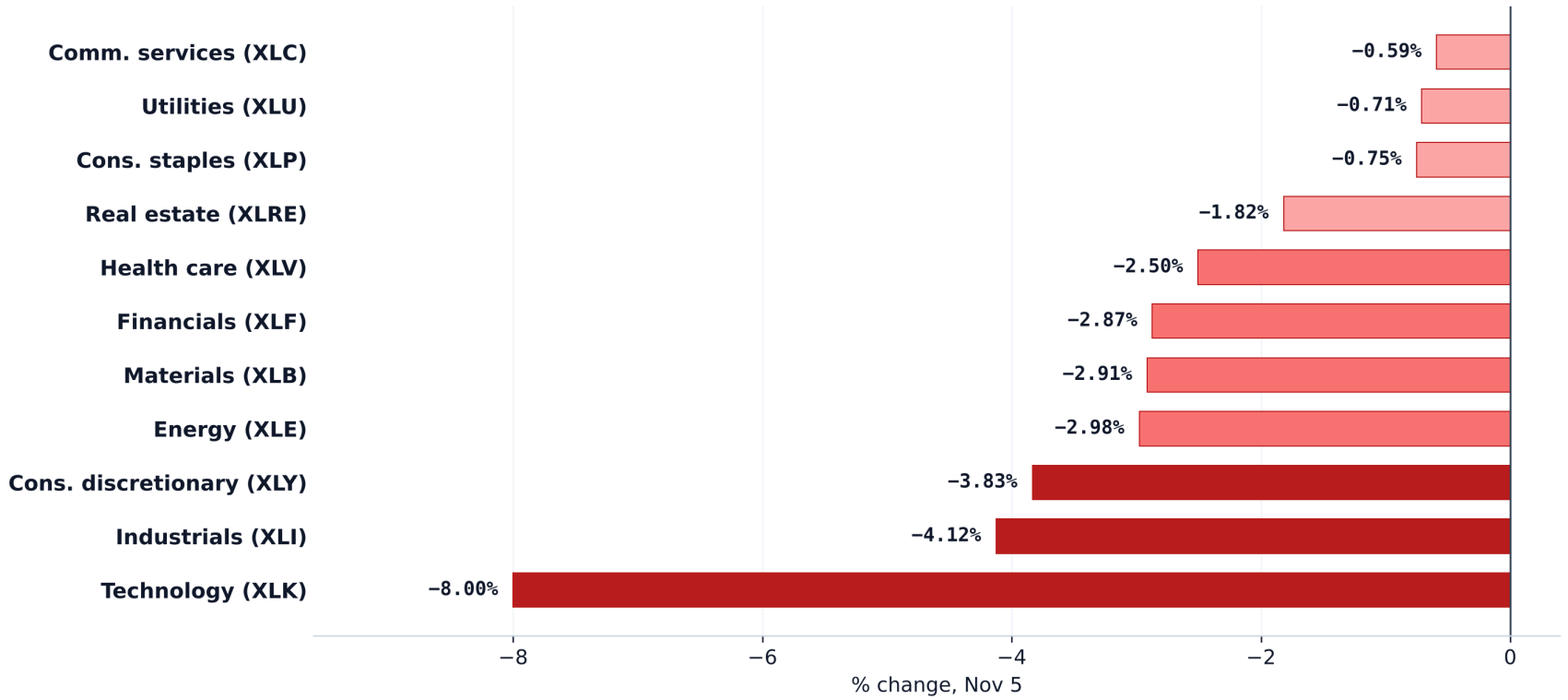
SO WHAT

Value +15.9% this year vs growth +6.3%

Since Aug 14: value –7%, growth –13%

Nov 5: growth fell 5.4%, value 3.5%

On the crash day, defensives barely moved



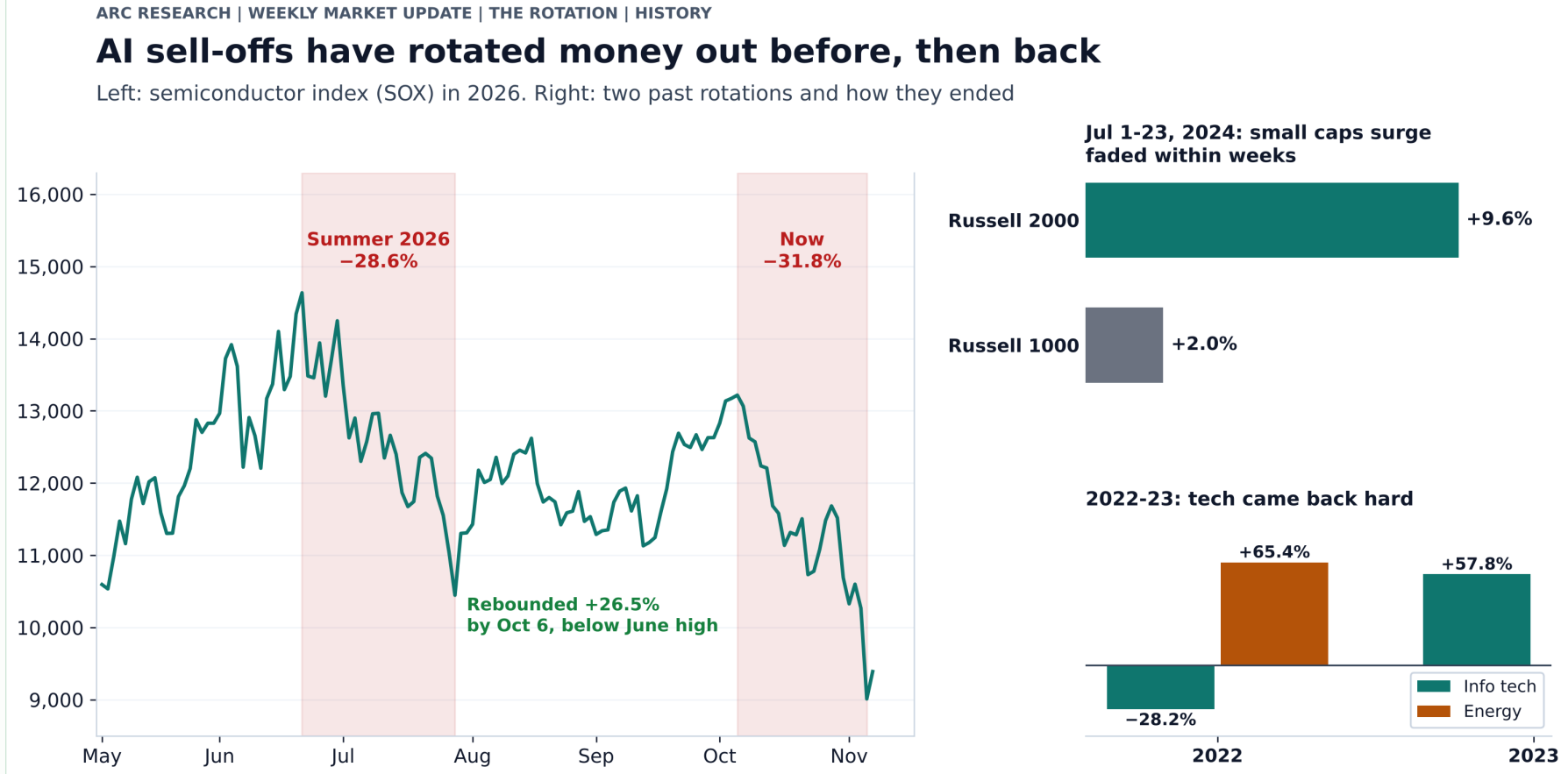
SO WHAT

Tech −8.0%

Utilities, staples ~−0.7%

Rotation held under stress

Past AI sell-offs rotated money out, then back



Source: SOX, Yahoo Finance daily closes to Nov 6, 2026; drawdowns are close-to-close, our calculation. July 2024: LSEG / FTSE Russell (total return, Jul 1-23).
Peak-to-trough: Jun 22 -> Jul 29 and Oct 6 -> Nov 5 closes. 2022-23: S&P 500 sector total returns via First Trust. 2023 energy return not shown: source gives only 'a loss'.

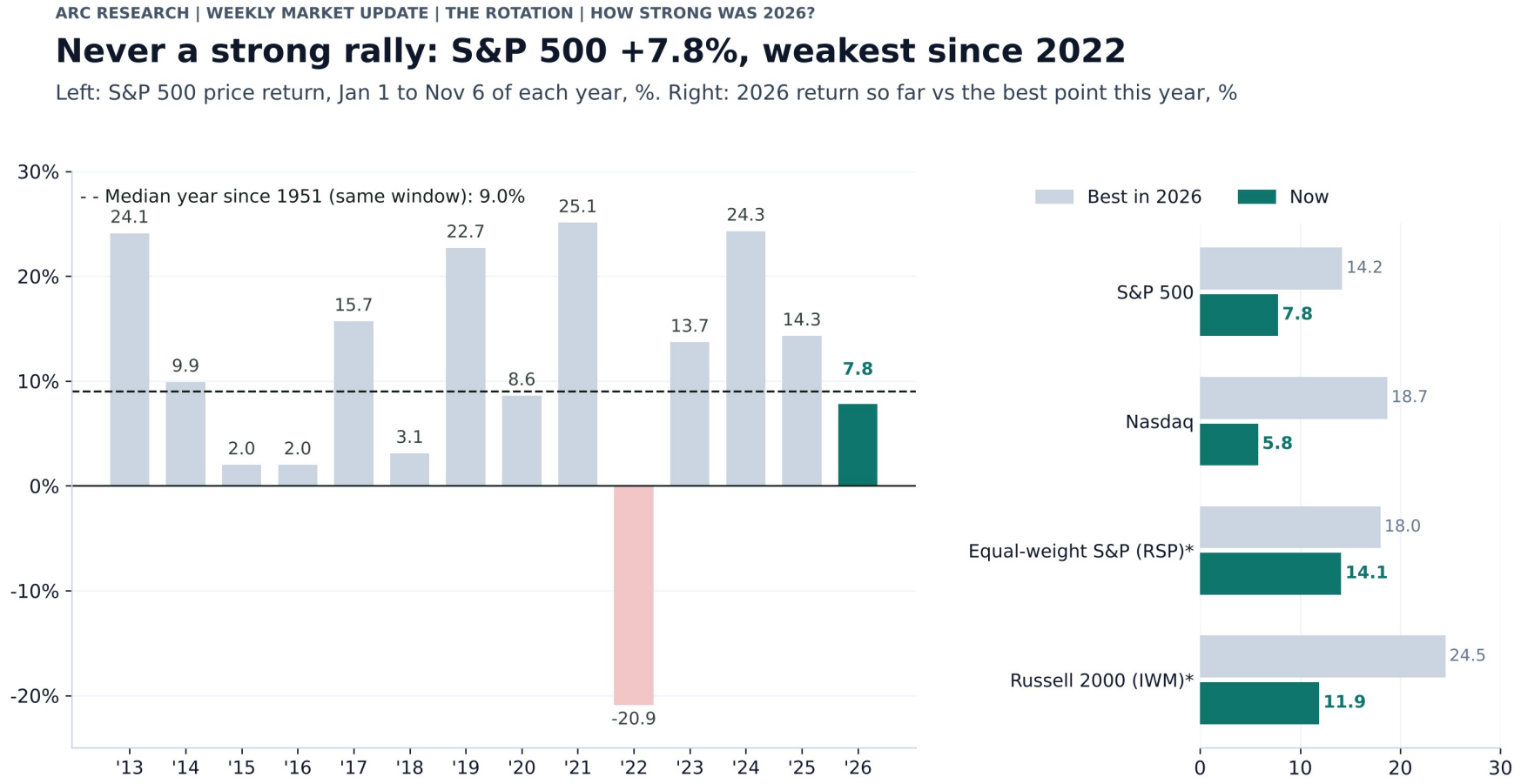
SO WHAT

Summer 2026: −29%, then a rebound

Jul 2024: faded in weeks

Lasting shifts need new earnings

Never a strong rally: S&P +7.8%, weakest since 2022



Source: Yahoo Finance daily closes to Nov 6, 2026 (^GSPC daily closes since 1950; ^IXIC; RSP and IWM adjusted closes*, i.e. including dividends); our calculations. Median = 1951-2025, same Jan 1-Nov 6 window. Best in 2026 = highest close vs Dec 31, 2025.

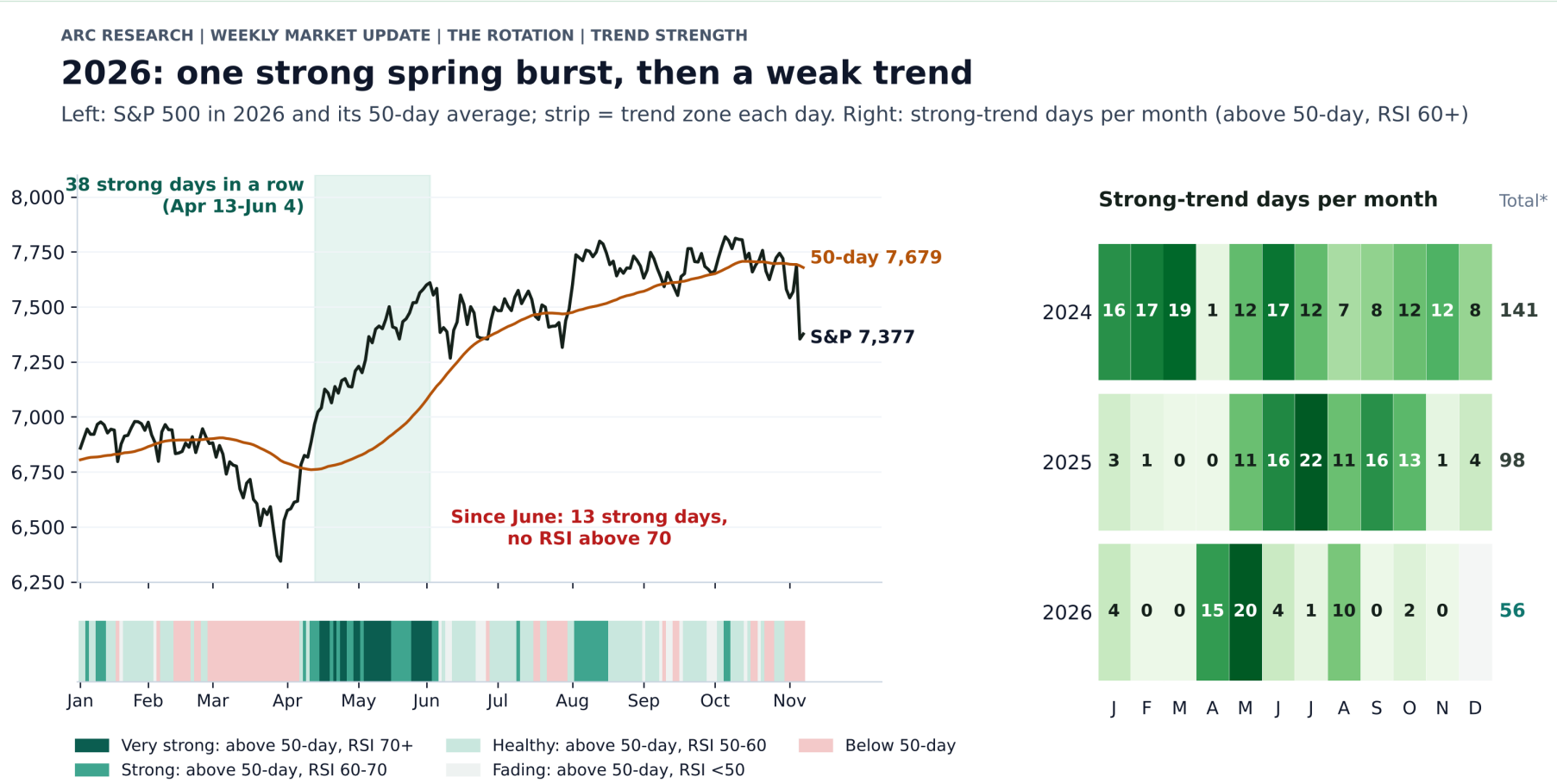
SO WHAT

+7.8% vs a 9.0% median year

Two ~10% drops in one year

Nasdaq +5.8%; equal-weight +14%

One strong spring burst, then a weak trend



SO WHAT

Strong 26% of days vs 44% in 2025, 57% in 2024

35 of 56 strong days came in Apr–May

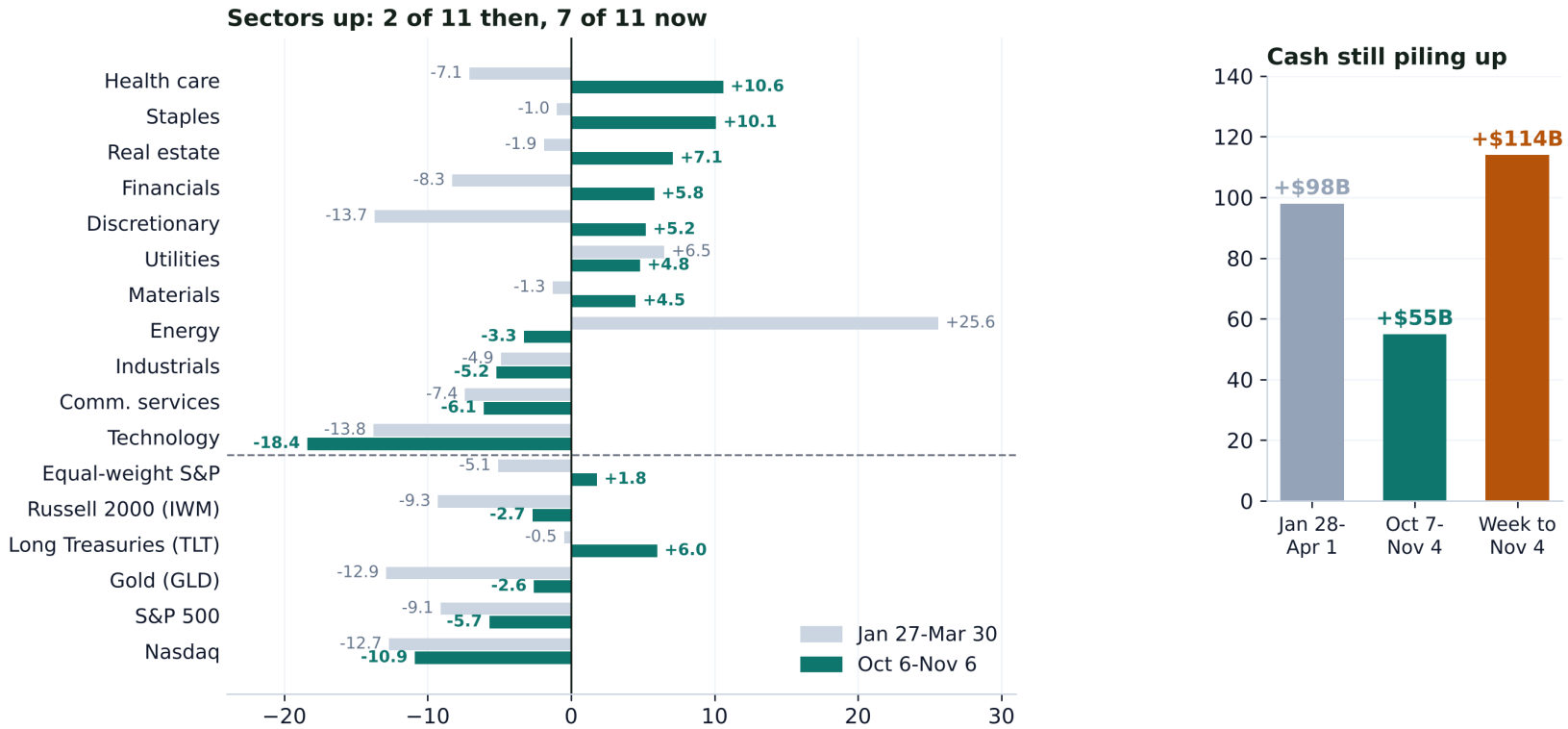
Since June: 13 strong days, none at RSI 70+

Then: sell and wait. Now: rotate.

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Early 2026: almost everything fell. Now: money moves within stocks

Total return, %: the Jan 27-Mar 30, 2026 sell-off (grey) vs Oct 6-Nov 6, 2026 (teal). Right: inflows to US money market funds, $bn



Source: Yahoo Finance daily closes to Nov 6, 2026 adjusted closes (SPDR sector ETFs, RSP, IWM, TLT, GLD; ^GSPC, ^IXIC price); our calculations. Money funds: ICI weekly data via Crane Data; Oct 7 level derived from reported weekly changes (about $7.96T). Windows: S&P 500 peak-to-low in early 2026 vs since the Oct 6 peak.

SO WHAT

Then: 2 of 11 sectors up

Now: 7 of 11 up, equal-weight up

Cash rose both times

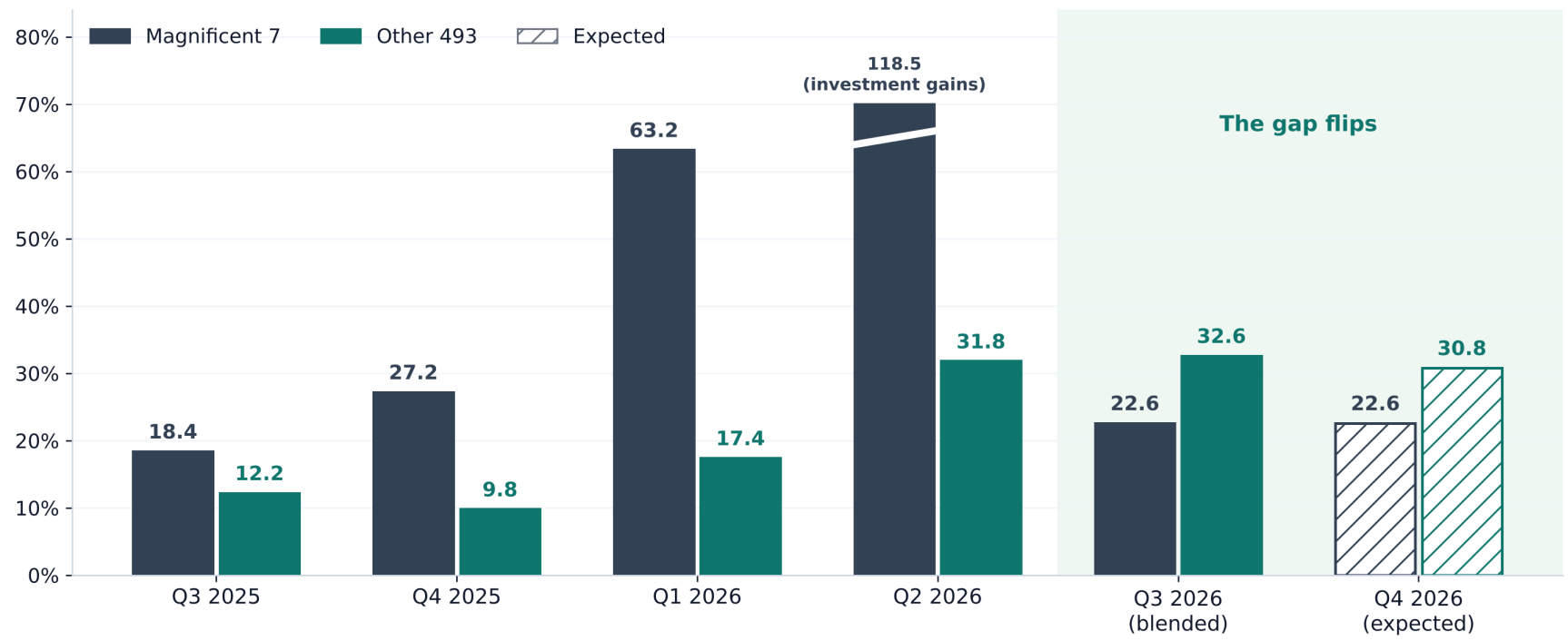
SECTION 3 OF 4

Is it fundamental?

Earnings growth is broadening; investors pay less for it

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32 Capex plans rise more slowly
33 AMD: beat, stock flat
34 AMD Helios rack
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Mag 7 earnings growth fell below the other 493



SO WHAT

22.6% vs 32.6%

First time since Q4 2022

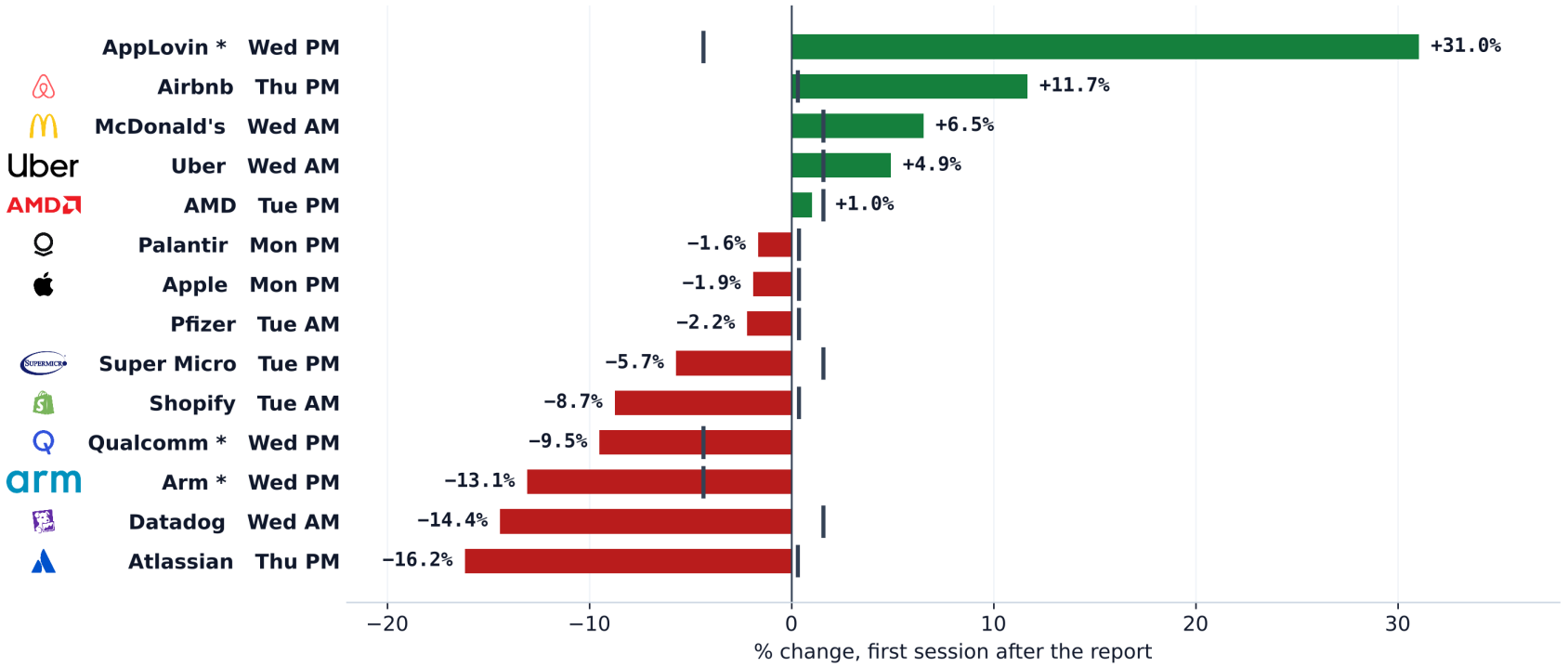
Partly one-off charges

Beats weren’t enough: guidance decided

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Beats weren't enough: guidance decided the move

Stock move on the first session after each company's report (bars) vs the S&P 500 that same day (grey tick)



Source: Yahoo Finance closes; close before the report to first close after it, our calculation. Reports: company releases / SEC 8-K (AppLovin, AMD, Palantir, Super Micro, Arm), Yahoo Finance live blog and StockStory for others. Most beat EPS estimates; exceptions and conflicts in the notes. * Reaction day = Nov 5, the AI sell-off (S&P -4.4%).

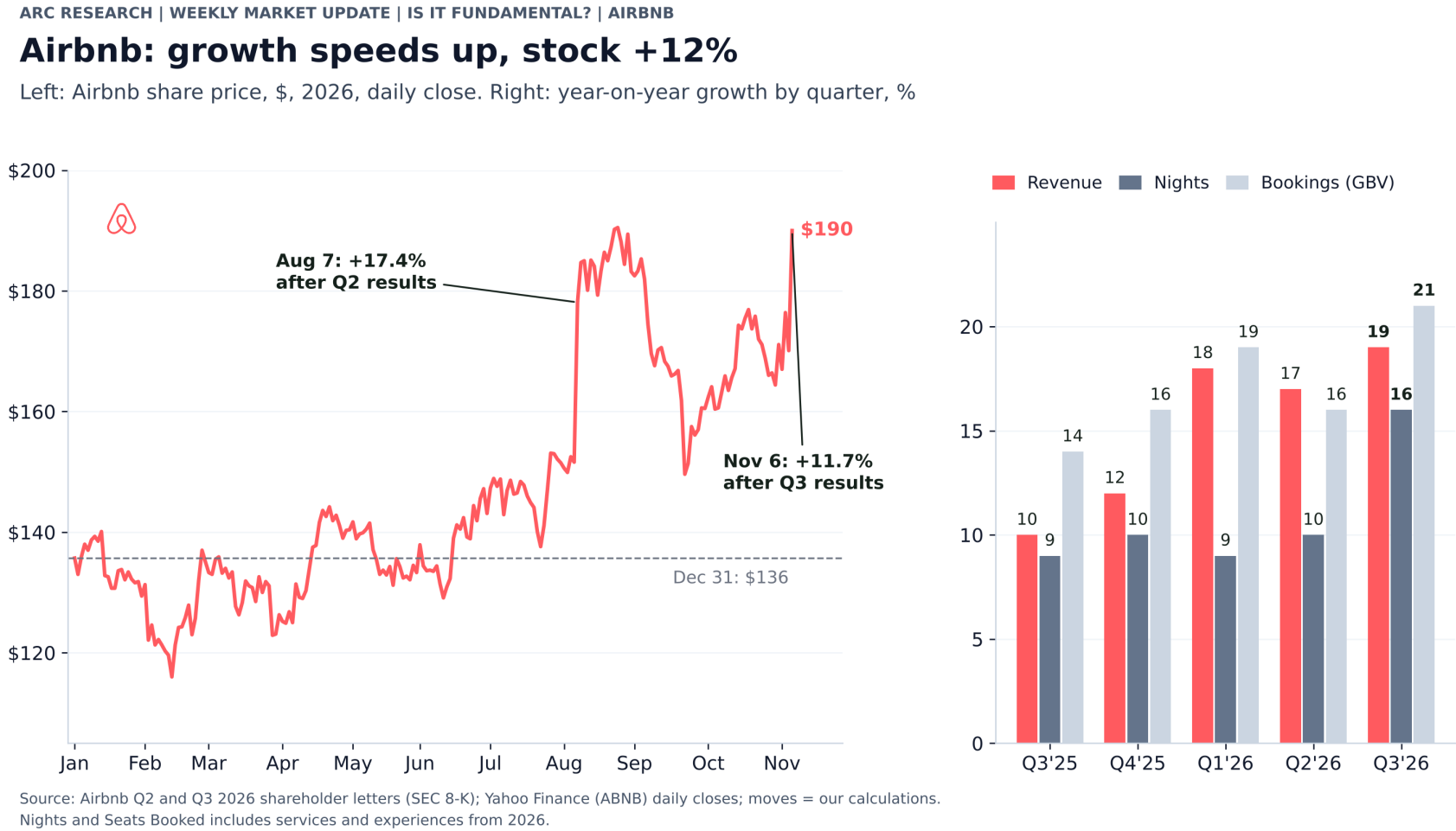
SO WHAT

Raised guides won: APP, ABNB

Soft outlooks hit: TEAM, DDOG

AI hardware sold despite beats

Airbnb beat and sped up: stock +12%



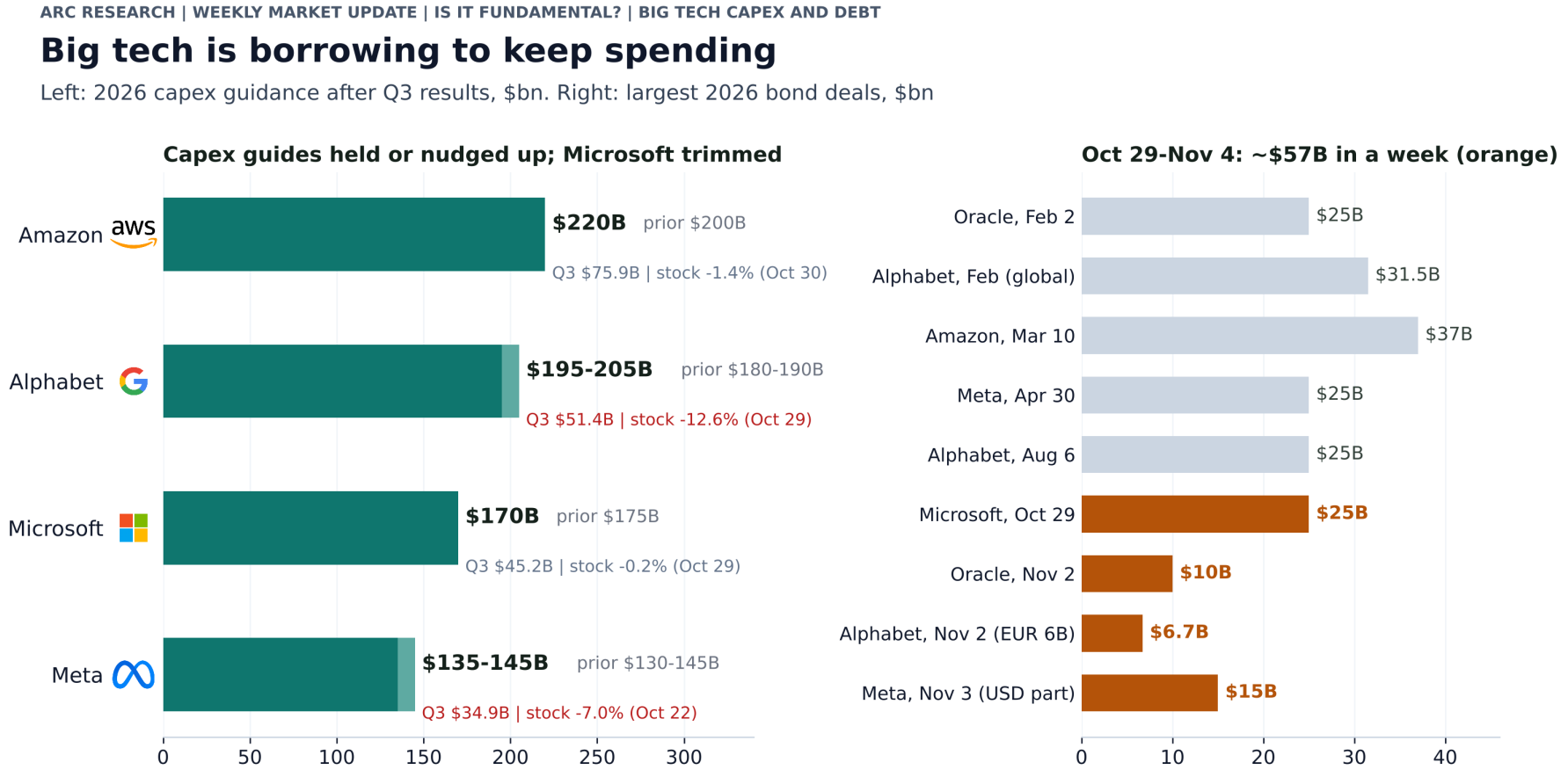
SO WHAT

Revenue +19%, nights +16%: fastest in the chart

Beat: $4.87B vs $4.75B; EPS $3.16 vs $2.85

New $12B buyback; 2026 outlook raised

Big tech is borrowing to keep spending



Source: company results and calls via Reuters, Business Insider, Luminix, TIKR, w.media; bond deals: Oracle release, Reuters, Bloomberg (via The Star, Bloomberg Law, ANSA), aiweekly; stock moves: Yahoo Finance closes, our calculations. Microsoft = calendar 2026; Amazon = cash capex; Meta incl. finance-lease principal.

SO WHAT

~$730B of 2026 capex from four companies; 2027 “significantly” higher

~$57B of bonds in one week, at wider spreads

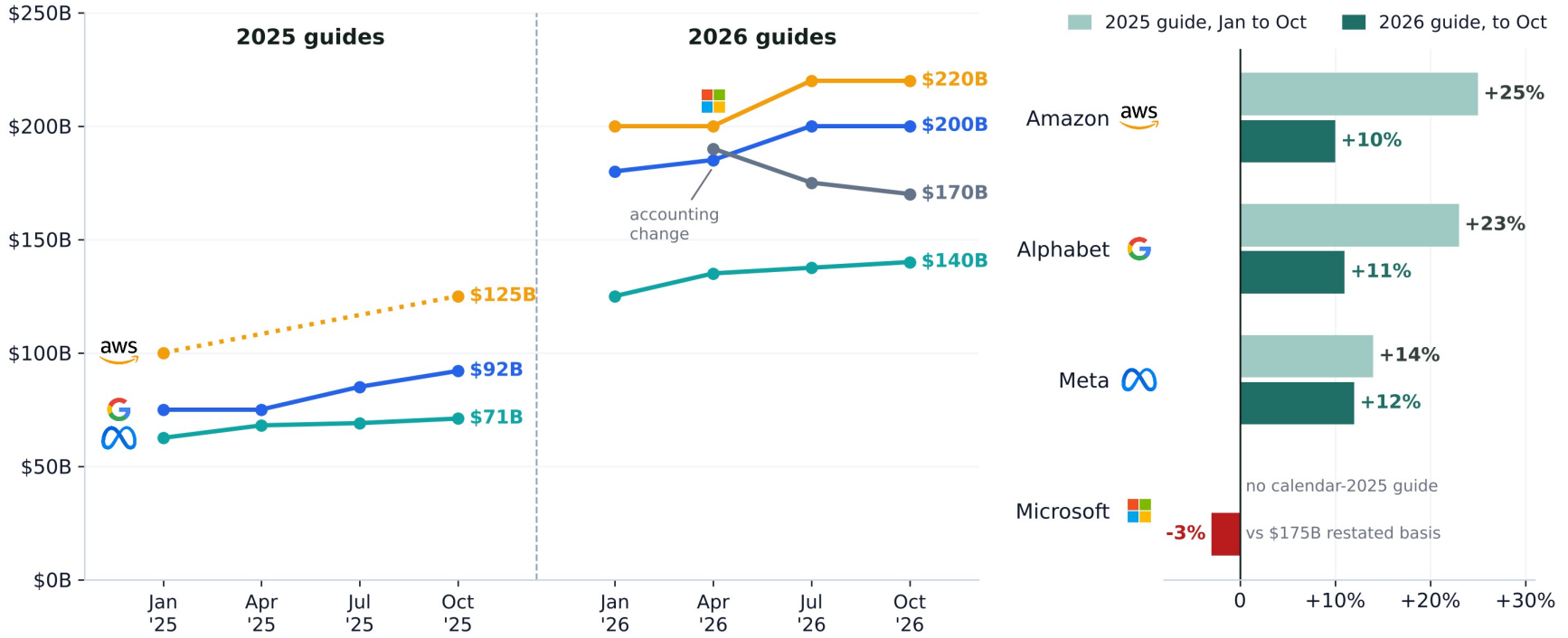
Spend-heavy prints punished: Alphabet –13%, Meta –7%

Capex plans rose half as fast in 2026

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Capex plans rose fast in 2025, slowly in 2026

Left: full-year capex guidance at each earnings season, $bn (midpoint of range). Right: change from the first guide for the year to the latest, %



Source: Meta earnings releases; Microsoft call transcripts; Alphabet, Amazon call transcripts (Motley Fool, MarketBeat) and coverage (CNBC, GeekWire, SiliconANGLE, Hargreaves Lansdown, CFO Dive, Let's Data Science). Amazon Jan 2025 = 'over $100B' implied by Q4 2024 pace. Microsoft: calendar 2026 only; Jul 2026 cut was an accounting change. Our calculations.

SO WHAT

2025 guides rose 14–25%; 2026 only 10–12%

Oct 2026: two held, Microsoft cut

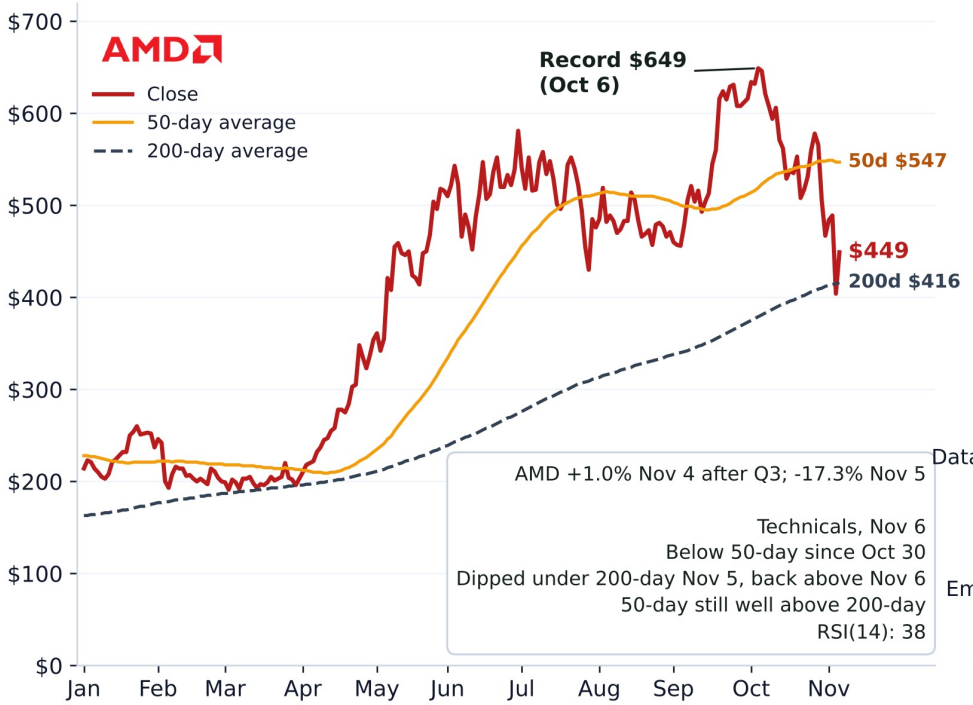
Earnings outlooks still beat, led by Nvidia

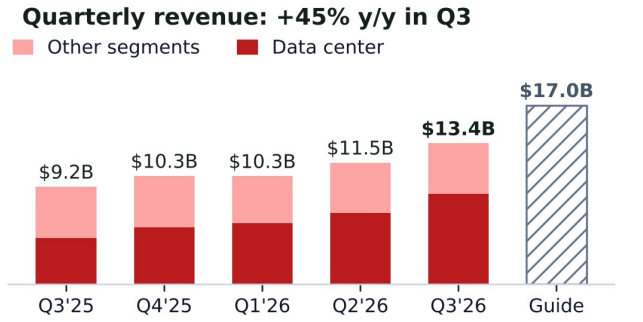
AMD beat and guided high; the stock barely moved

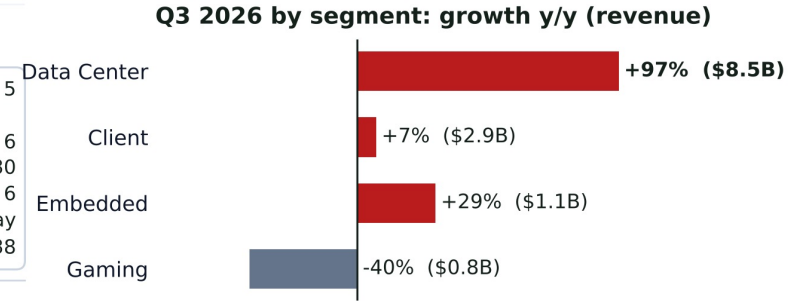
ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | AMD

AMD: data center nearly doubles, Q4 guide ~$17B

Left: AMD share price, $, 2026, daily close. Right: quarterly revenue and Q4 guide; Q3 2026 growth by segment, year on year







Source: AMD SEC 8-K Ex. 99.1 (Nov 3, 2026) and prior quarterly 8-Ks; Yahoo Finance daily closes (AMD); moves = our calculations.
Q4 guide: about $17B +/-3%, shown at midpoint.

SO WHAT

Revenue +45%; data center +97%

Q4 guide ~$17B (+66%), above forecasts

Stock +1.0% next day; −31% from Oct peak

Helios: AMD’s first full AI rack is now shipping

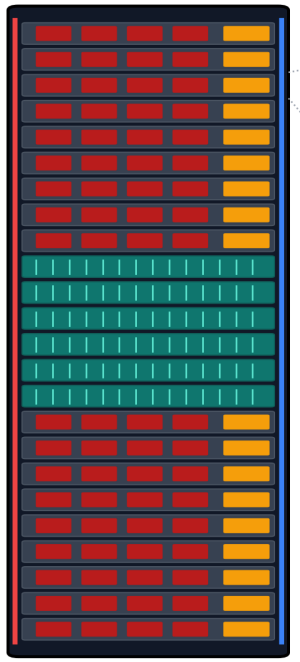
ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | AMD HELIOS

Helios: AMD's first full AI rack, now shipping

One double-wide rack = 72 MI455X GPUs acting as one; schematic, not to scale

AMD

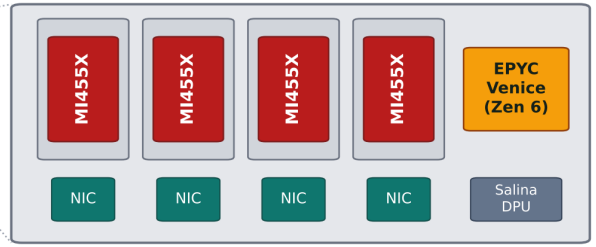
Helios rack (front)



18 compute trays

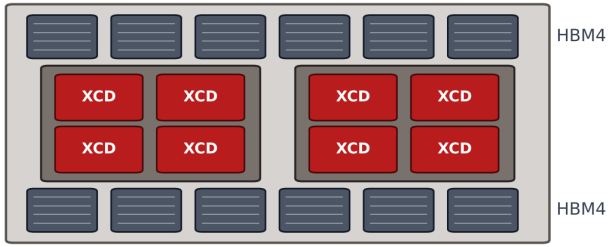
6 switch trays: UALink over Ethernet links all 72 GPUs

One compute tray (top view)



4 GPUs + 1 CPU per tray, liquid cold plates. Pensando Vulcano 800G NICs link racks (scale-out); Salina DPU runs storage and security.

MI455X package (CoWoS-L)



8 compute dies (XCDs, TSMC 2nm) bonded on 2 base dies (N3P), 12 HBM4 stacks, 320B transistors, 40 PF FP4 per GPU.

Per rack (AMD projections)

72	31 TB	2.9 EF	260 TB/s	43 TB/s	18
MI455X GPUs in one domain	HBM4 memory (432 GB per GPU)	FP4 compute (1.4 EF FP8)	scale-up bandwidth	scale-out bandwidth	Venice CPUs (96 cores each)

Source: AMD Helios brochure (rack totals are AMD projections); Tom's Hardware (MI455X, Jul 23, 2026; Venice, May 21, 2026); ServeTheHome and PC Games Hardware (Hot Chips 2026); Supermicro Helios datasheet; AMD Q3 2026 earnings call. Tray and switch positions in the rack are illustrative.

SO WHAT

72 GPUs act as one: 31 TB of HBM4

First Helios revenue in Q3; ‘big step up’ in Q4

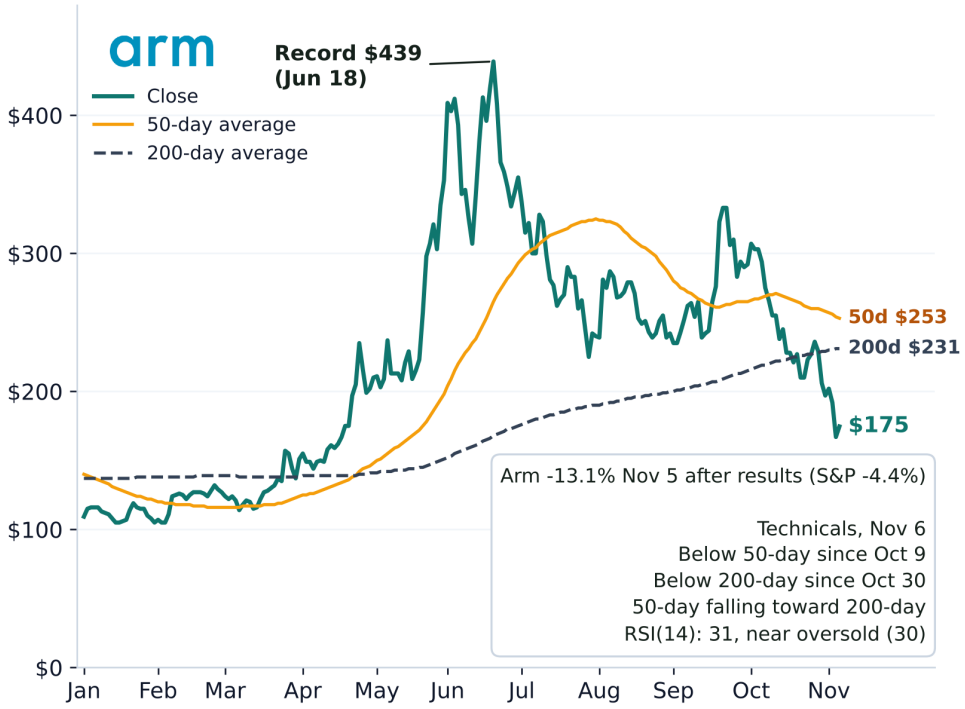
Oracle, Microsoft, Meta, Anthropic racks online

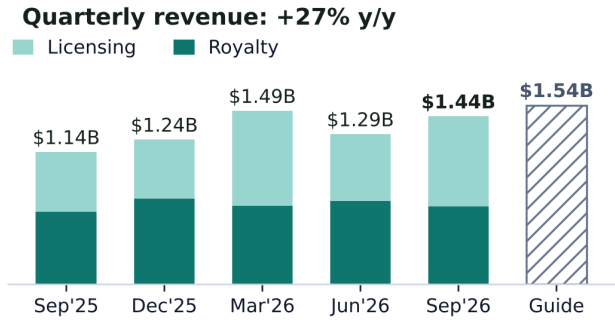
Arm beat on licensing, but royalties stalled

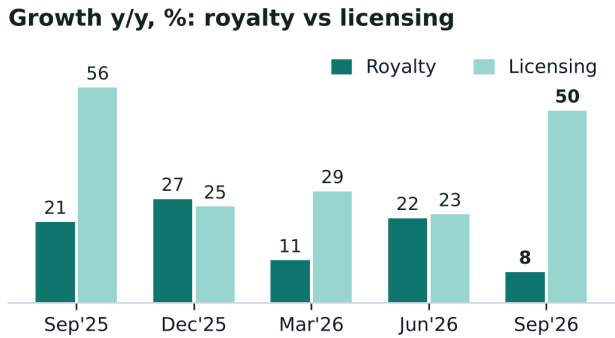
ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | ARM

Arm: licensing jumps, royalties stall

Left: Arm share price, $, 2026, daily close. Right: quarterly revenue and Dec-quarter guide, $bn; growth y/y by revenue type, %







Source: Arm results release (Nov 4, 2026); SEC 6-K exhibits (Dec 2025, Mar 2026 quarters); Arm newsroom (Jun 2026); StockTitan, Converge Digest (Sep 2025, Sep 2026); Yahoo Finance daily closes (ARM); moves = our calculations. Guide: $1.54B +/-$50M, shown at midpoint; no royalty/licensing split given.

SO WHAT

Revenue +27%: licensing +50%

Royalties only +8%: phones hit by memory costs

–13% on Nov 5; –60% from June record

Arm now sells its own chip; outlook doubled to $2B

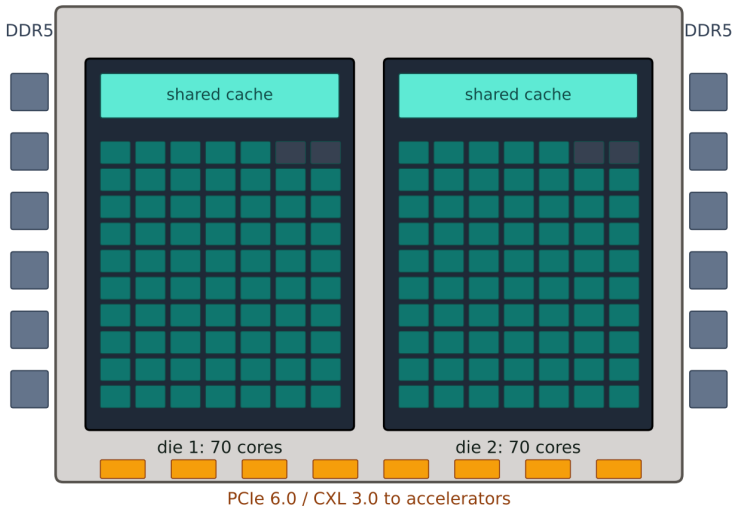
ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | ARM AGI CPU

Arm now sells its own chip: outlook doubled to $2B

Arm AGI CPU: Arm's first chip sold as silicon, not a licensed design; schematic, not to scale

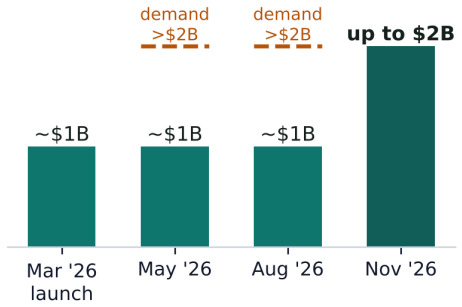
arm

AGI CPU package (TSMC 3nm, 300 W)

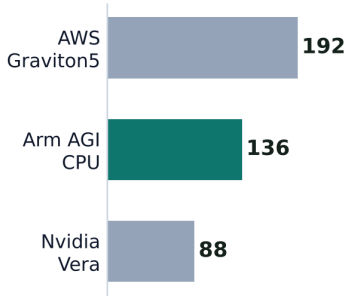


136 Neoverse V3 cores (2 x 70 built) 3.2 GHz all-core, 3.7 GHz boost
2 MB L2 per core + 128 MB shared cache 12 x DDR5-8800, ~825 GB/s
96 lanes PCIe 6.0 / CXL 3.0

Chip revenue outlook, FY27-28



Cores per chip



Lead customer	Also signed	First deliveries	Long-term goal
Meta, co-developer; pairs it with its own MTIA chips	OpenAI, Cloudflare, SAP, SK Telecom, Cerebras, F5	Jan-Mar 2027; Oracle cloud instances in 2027	$15B chip revenue by fiscal 2031

Source: Arm Q1 and Q2 FYE27 results (SEC 6-K, Aug and Nov 2026), Arm newsroom; Q4 FY26 call transcript (Motley Fool, May 7, 2026); Tom's Hardware, The Register, SiliconANGLE (launch, Mar 24, 2026); The Register (Graviton5), Tom's Hardware (Vera). Arm fiscal year ends March 31. Outlook = revenue Arm expects from the chip over fiscal 2027-28.

SO WHAT

First Arm-made chip: 136 cores, for AI servers

Outlook: ~$1B → up to $2B over FY27–28

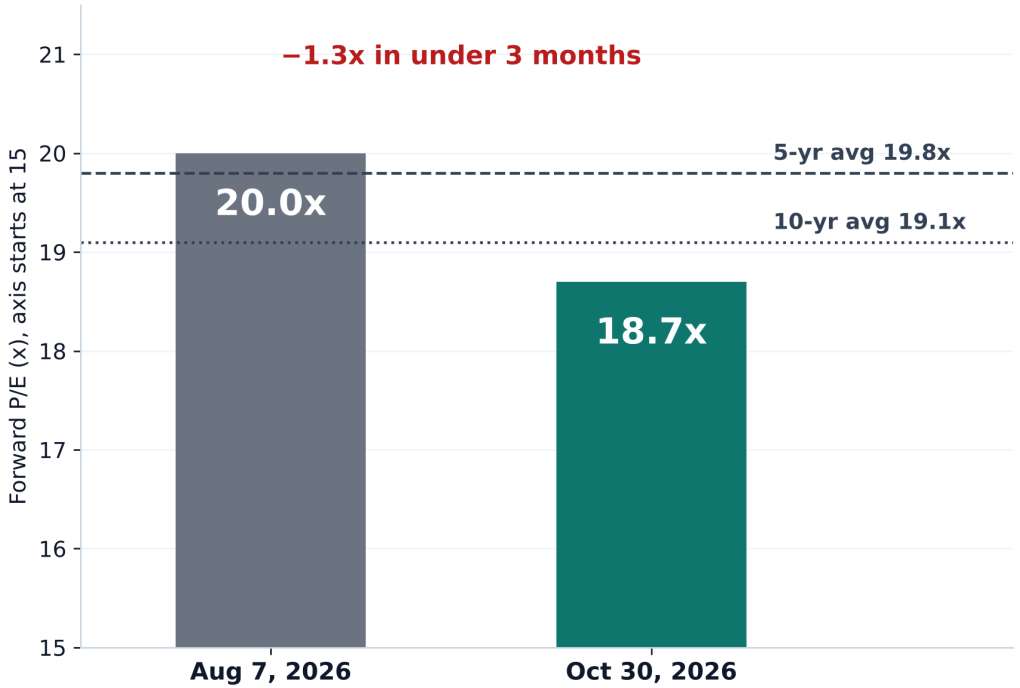
Deliveries start Jan–Mar 2027; Meta leads

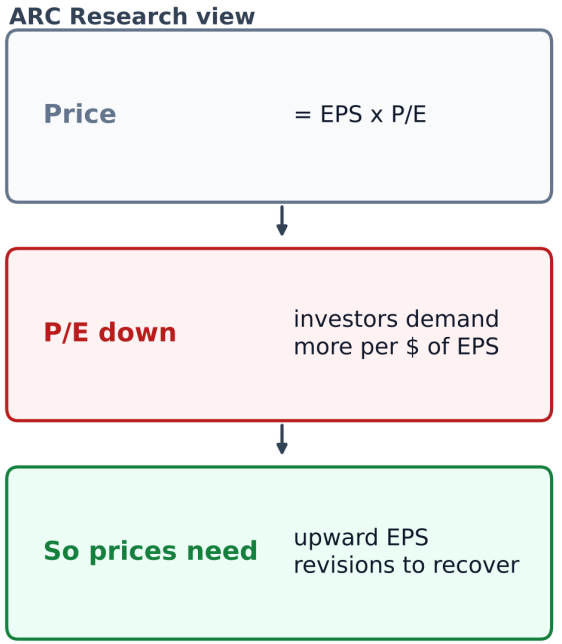
Investors want more earnings per dollar

ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | VALUATION

Investors now pay less for each dollar of earnings

S&P 500 forward 12-month P/E: August vs end-October 2026, against its 5- and 10-year averages





Source: FactSet Earnings Insight, Aug 7 and Oct 30, 2026 (forward 12-month P/E; 5-yr avg 19.8, 10-yr avg 19.1).
Oct 30 reading predates the Nov 5 sell-off. Higher required return on earnings = ARC Research interpretation, not a FactSet statement.

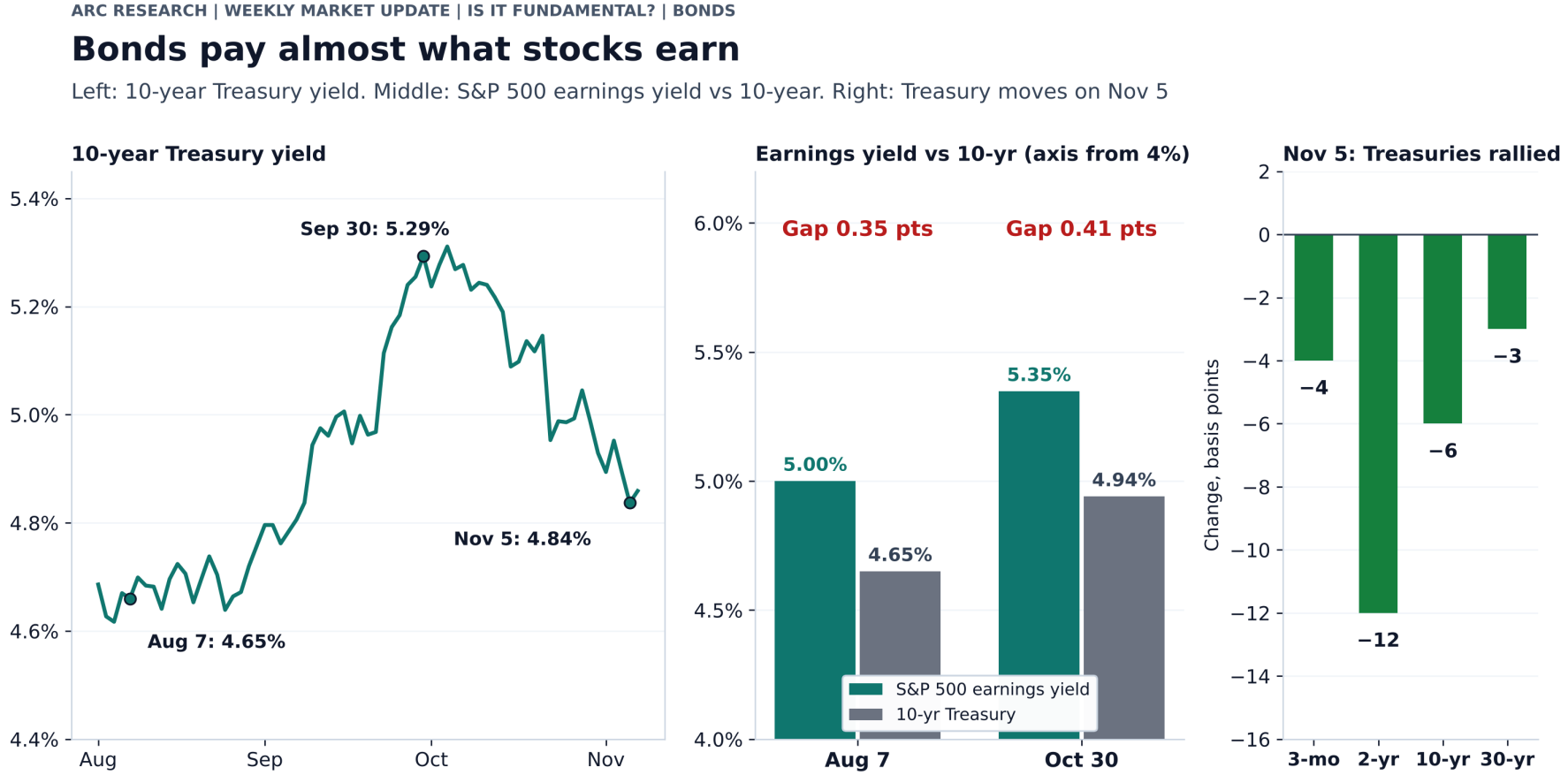
SO WHAT

Forward P/E 20.0x → 18.7x

Risk premium on earnings up

Recovery needs EPS upgrades

Bonds pay almost what stocks earn



Source: 10-yr daily: Yahoo Finance (^TNX); dated points and Nov 5 curve: US Treasury daily par yield curve. Forward P/E: FactSet Earnings Insight (Aug 7, Oct 30).
Earnings yield = 1 / forward P/E (20.0x -> 5.00%, 18.7x -> 5.35%); gap = earnings yield - 10-yr Treasury yield. Our calculations. Last 10-yr point = Nov 6 close.

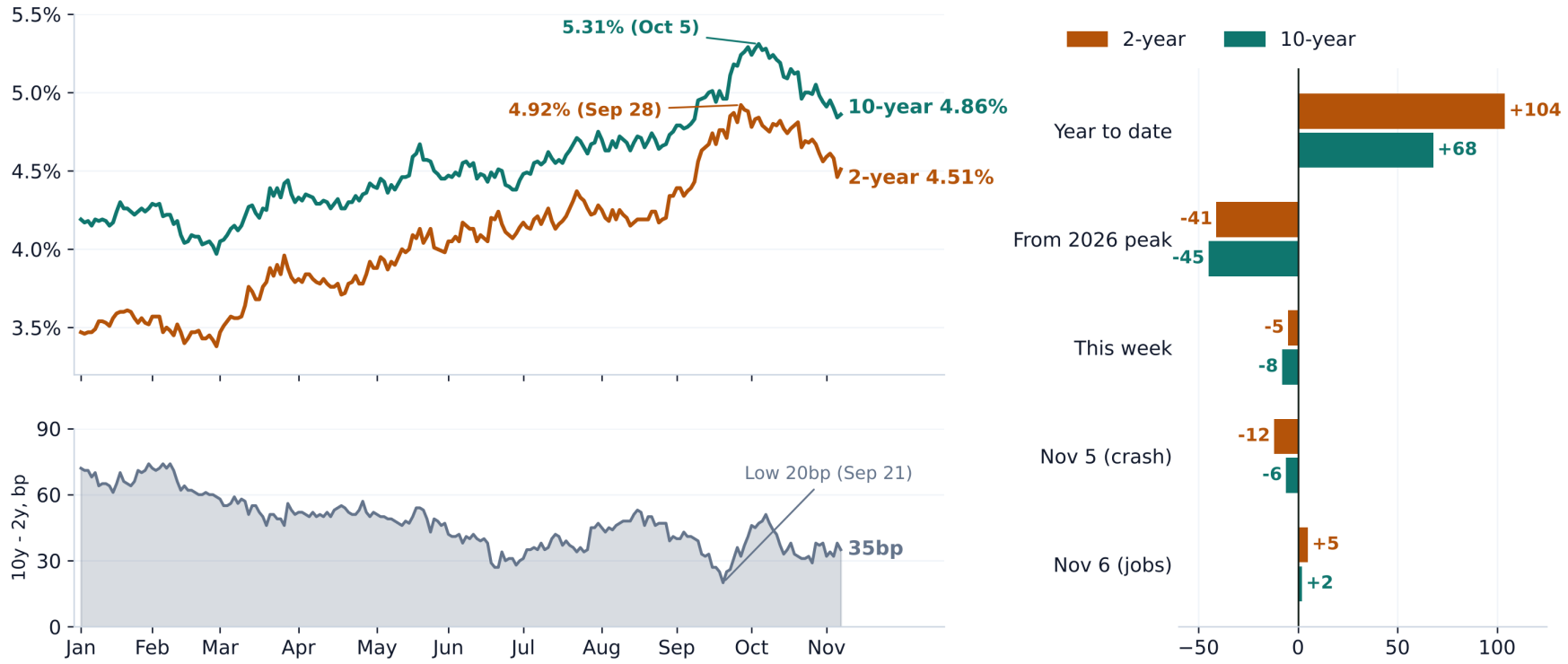
SO WHAT

Stocks yield ~0.4 pt over bonds

Crash day: 2-yr −12bp

Growth must do the work

2-year +104bp this year, 10-year +68bp



Source: US Treasury daily par yield curve (home.treasury.gov), Jan 2-Nov 6, 2026; Dec 31, 2025: 2-year 3.47%, 10-year 4.18%. Changes = our calculations.

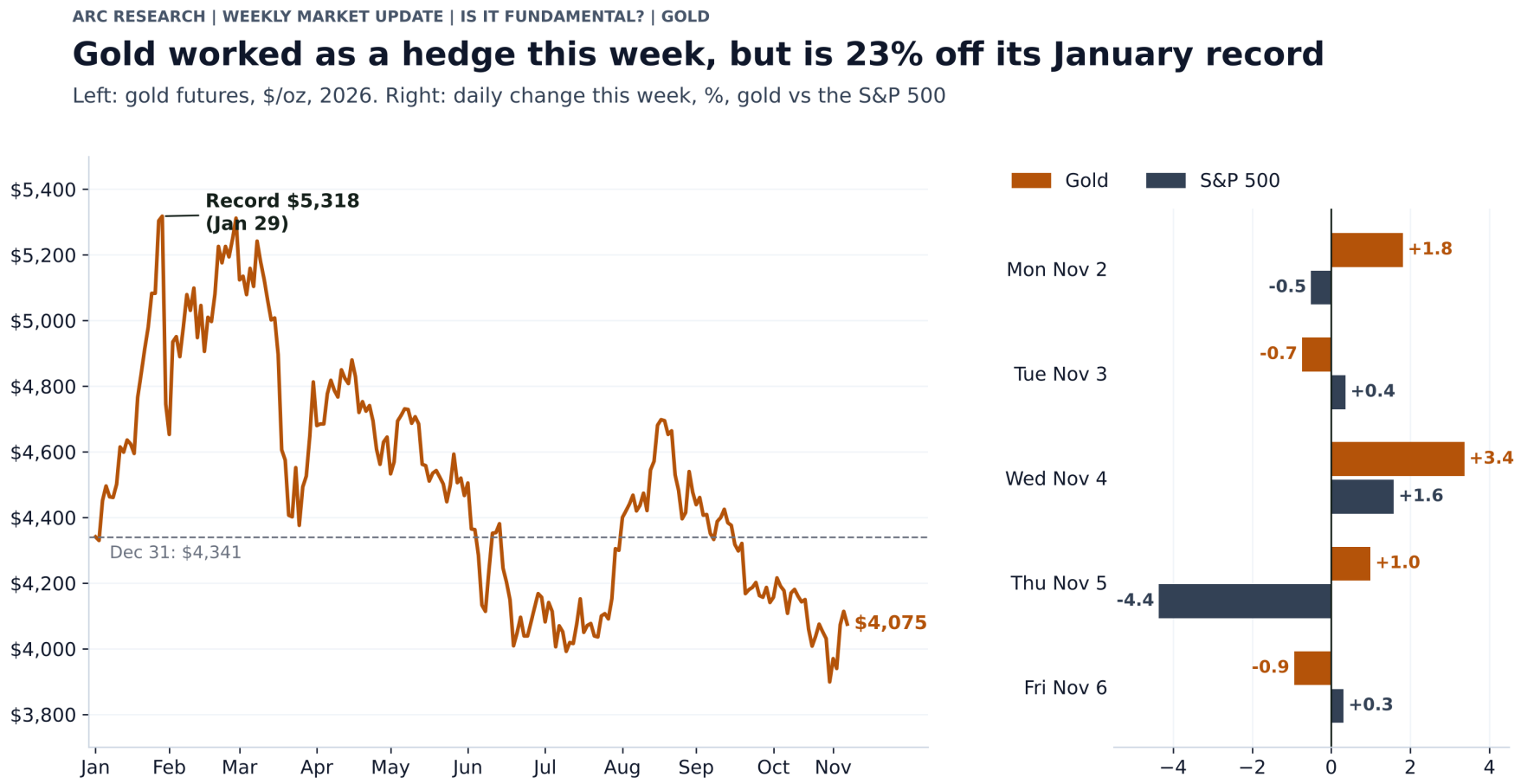
SO WHAT

Market priced Fed hikes: 2-year led

Both ~40bp off their autumn peaks

Jobs report pushed the 2-year back up

Gold hedged the crash, but trails stocks this year



Source: Yahoo Finance daily closes to Nov 6, 2026 (GC=F COMEX front-month gold futures, ^GSPC); changes = our calculations. Futures prices differ slightly from spot.

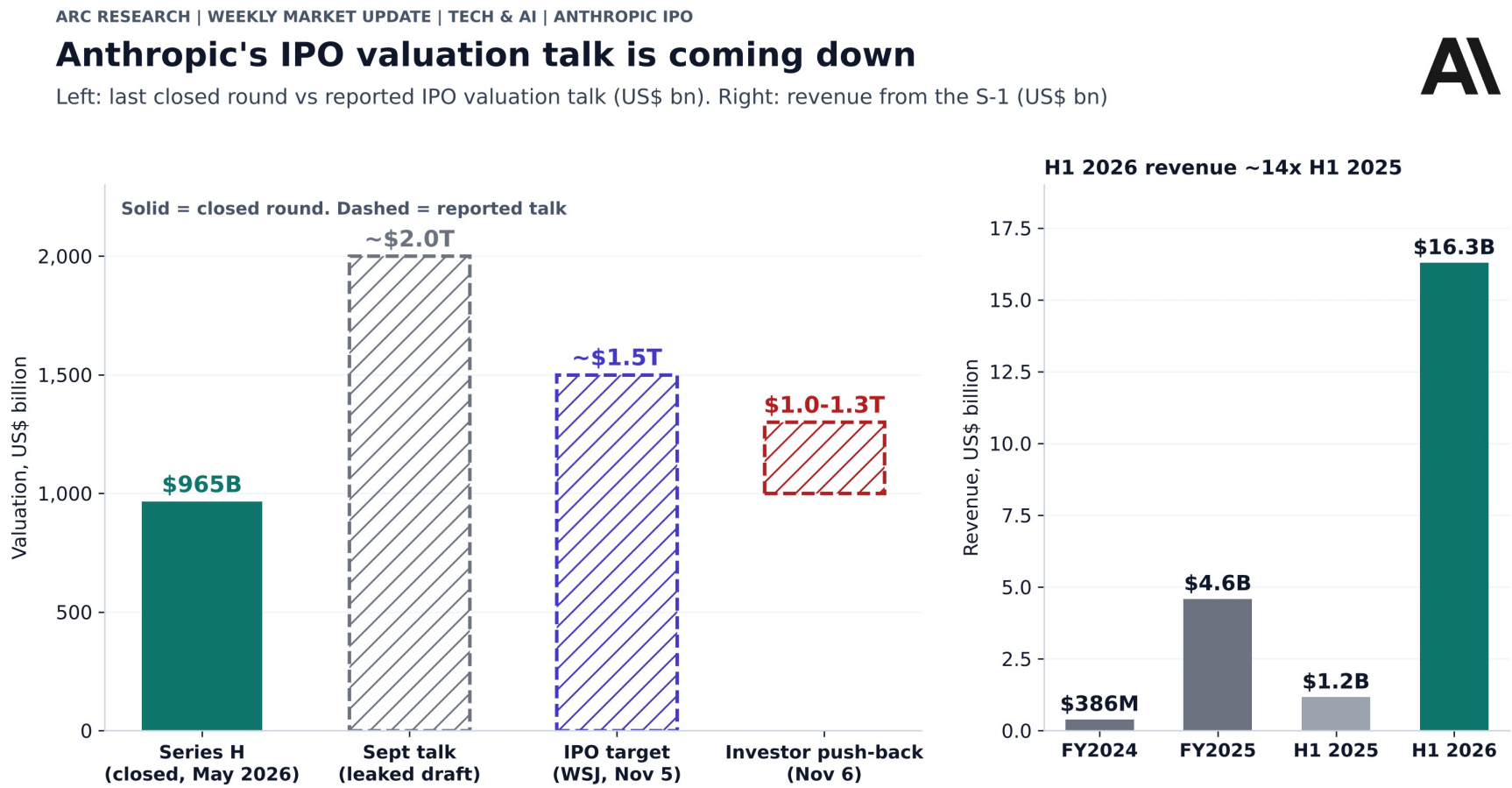
SO WHAT

+4.5% this week; up on crash day

−23% from Jan record, −6% this year

Hike odds and a firm dollar cap it

Anthropic’s $1.5T IPO target meets push-back



Source: closed round, Anthropic via TechCrunch (May 28, 2026: $65B raised at $965B post-money). IPO talk, all anonymous-sourced: ~$2T leaked Sept draft (Decrypt, Forbes); ~$1.5T target, up to $100B raise (WSJ, Nov 5); $1.0-1.3T investor push-back (Bloomberg / WSJ via Yahoo Finance, Nov 6). No price range filed. Revenue: Form S-1, SEC EDGAR, Oct 26, 2026.

SO WHAT

Target ~$1.5T, up to $100B raise

Investors: $1.0–1.3T

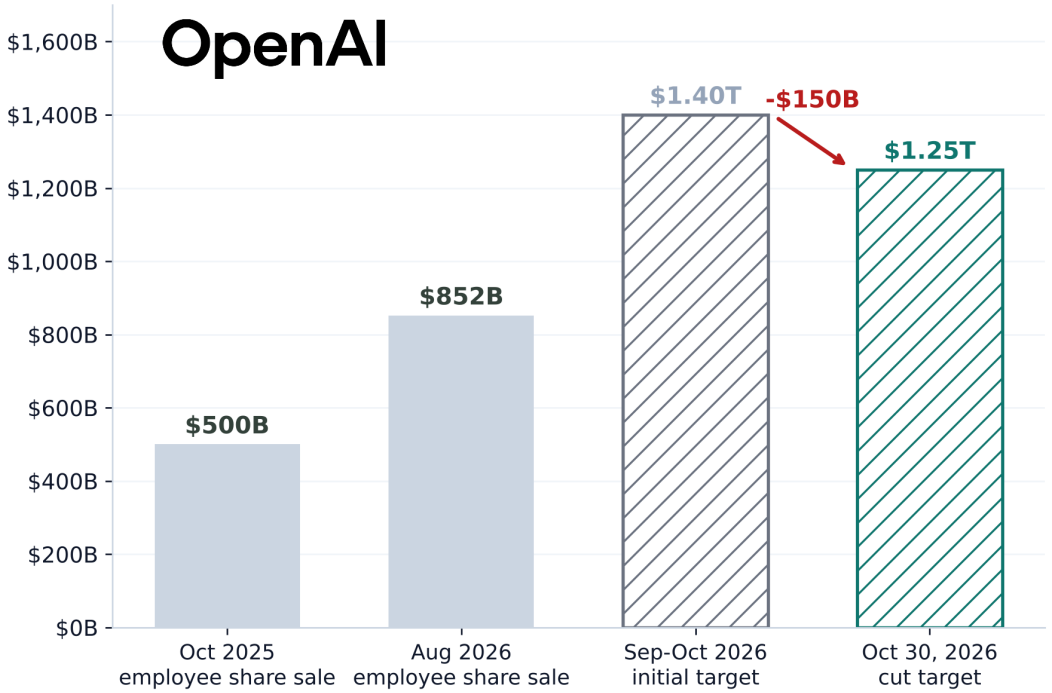
Last closed round: $965B

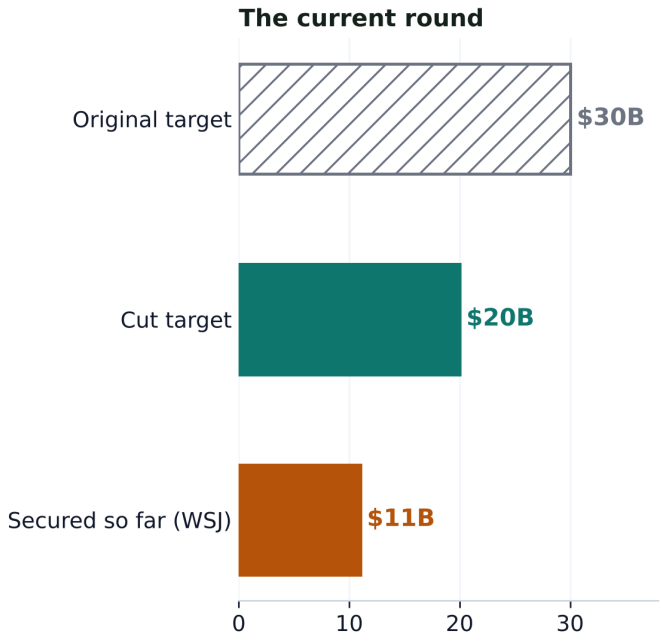
OpenAI trims its price: $1.4T → $1.25T

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OpenAI cut its target to $1.25T and its raise to ~$20B

Left: OpenAI valuation marks, $bn (hatched = targets for the current round, not completed). Right: size of the current round, $bn





Source: CNBC (Oct 2, 2025; Aug 10, 2026 via Dealroom); Financial Times via Business Standard (Oct 23, 2026), Political.org (Oct 30) and Proactive/Yahoo Finance (Nov 2); Wall Street Journal via Business Model Analyst (Nov 2). Press reports citing people familiar; not confirmed by OpenAI.

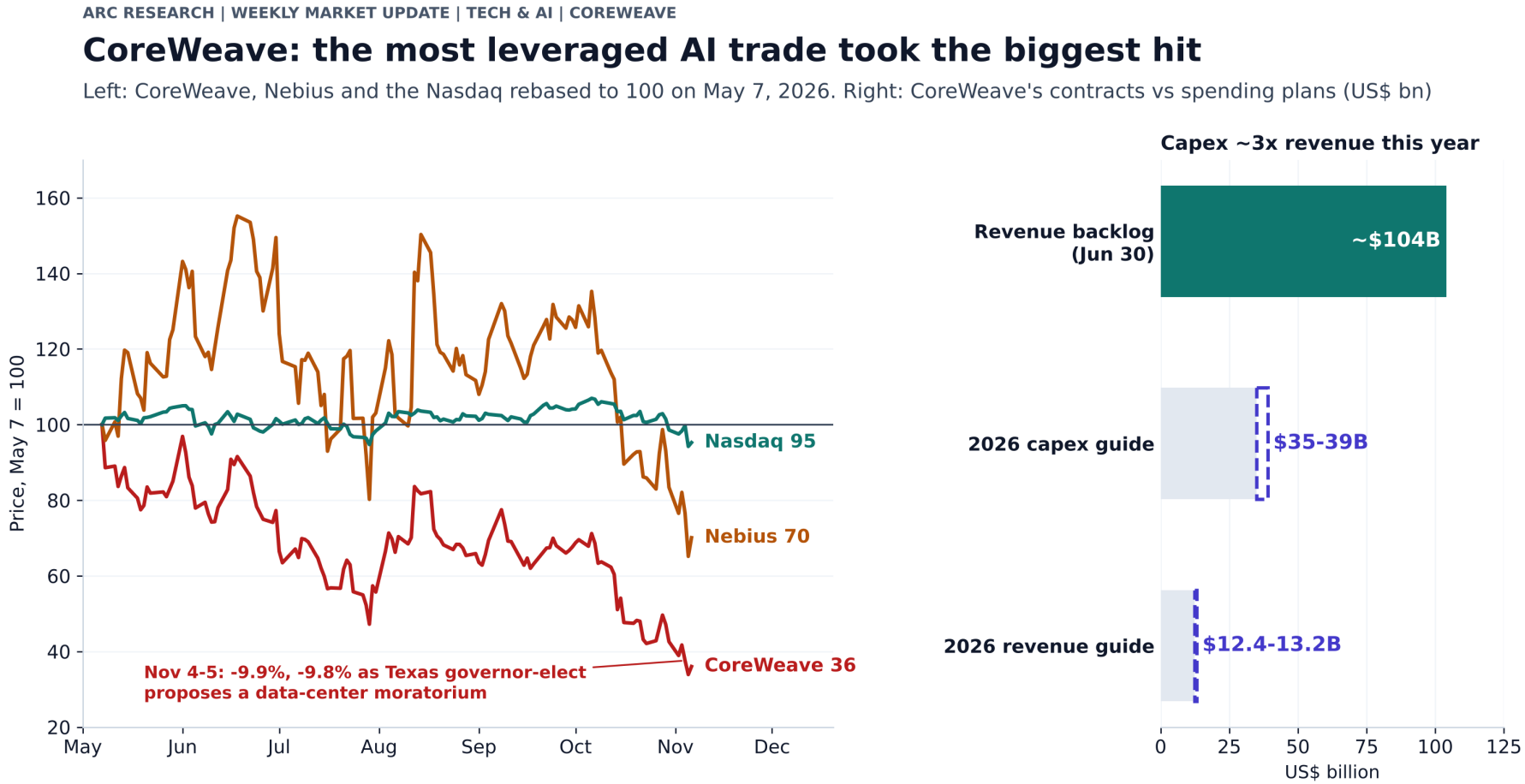
SO WHAT

Target –$150B, raise $30B → $20B

Still ~1.5x its last $852B mark

Private AI prices now follow public stocks

CoreWeave: the leveraged AI trade broke



SO WHAT

–64% from May high, –15% this week

2031 bonds at 79.5¢

Capex ~3x revenue; results Nov 10

Learn more about data centers

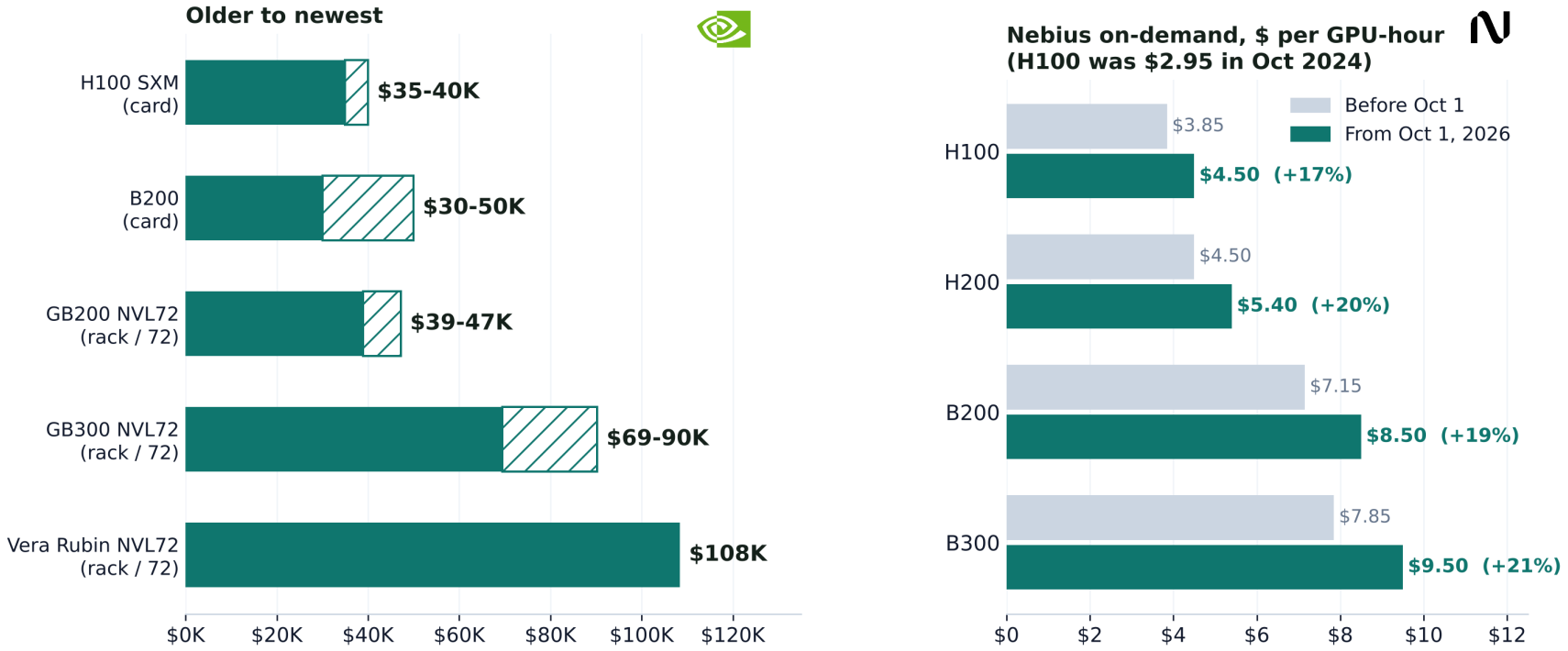
arcresearch.markets/dashboards/data-centers

GPUs: pricier to buy, pricier to rent

ARC RESEARCH | WEEKLY MARKET UPDATE | IS IT FUNDAMENTAL? | AI GPUS

GPUs cost more per chip, and renting them is getting pricier too

Left: estimated purchase price per GPU, $ thousand (range = low-high estimate). Right: Nebius rental rate card before and after Oct 1, 2026



Source: estimates, not Nvidia list prices: DeployBase/CloudZero via IntuitionLabs (Oct 2026); Wing VC/Data Gravity (Aug 2026); Morgan Stanley via PC Gamer (May 2026); rack prices / 72 GPUs = our division. Rentals: nebius.com/prices (Nov 8, 2026); prior rates via FourWeekMBA (Oct 8); Nebius blog (Oct 29, 2024).

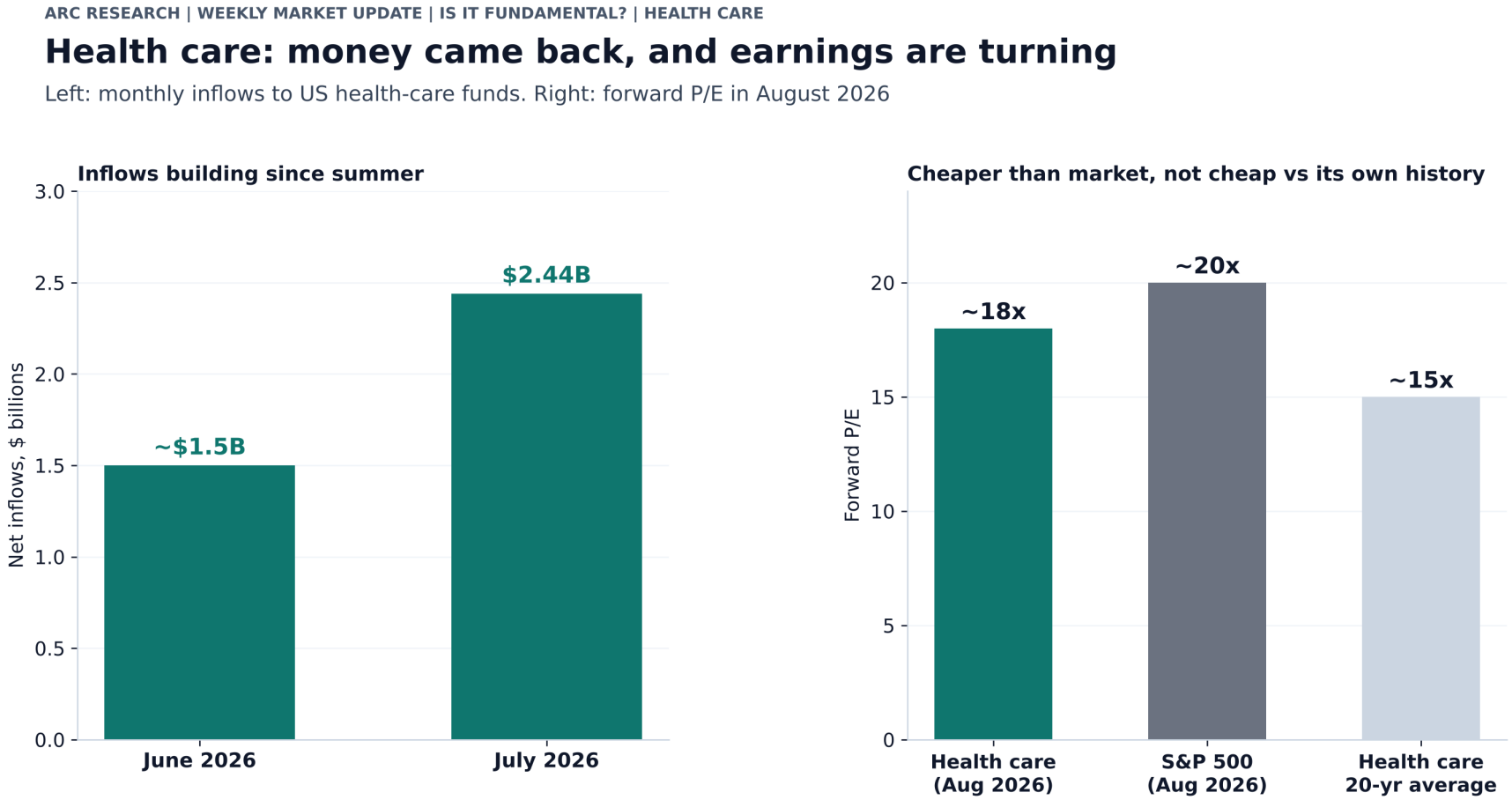
SO WHAT

Rubin rack ~$108K per GPU vs H100 ~$35–40K

Nebius raised rents 17–21% on Oct 1

H100 at Nebius: $2.95 (2024) → $4.50

Health care: money is back, earnings turning



SO WHAT

Inflows since summer

Double-digit EPS from Q4

Cheap vs market, not history

SECTION 4 OF 4

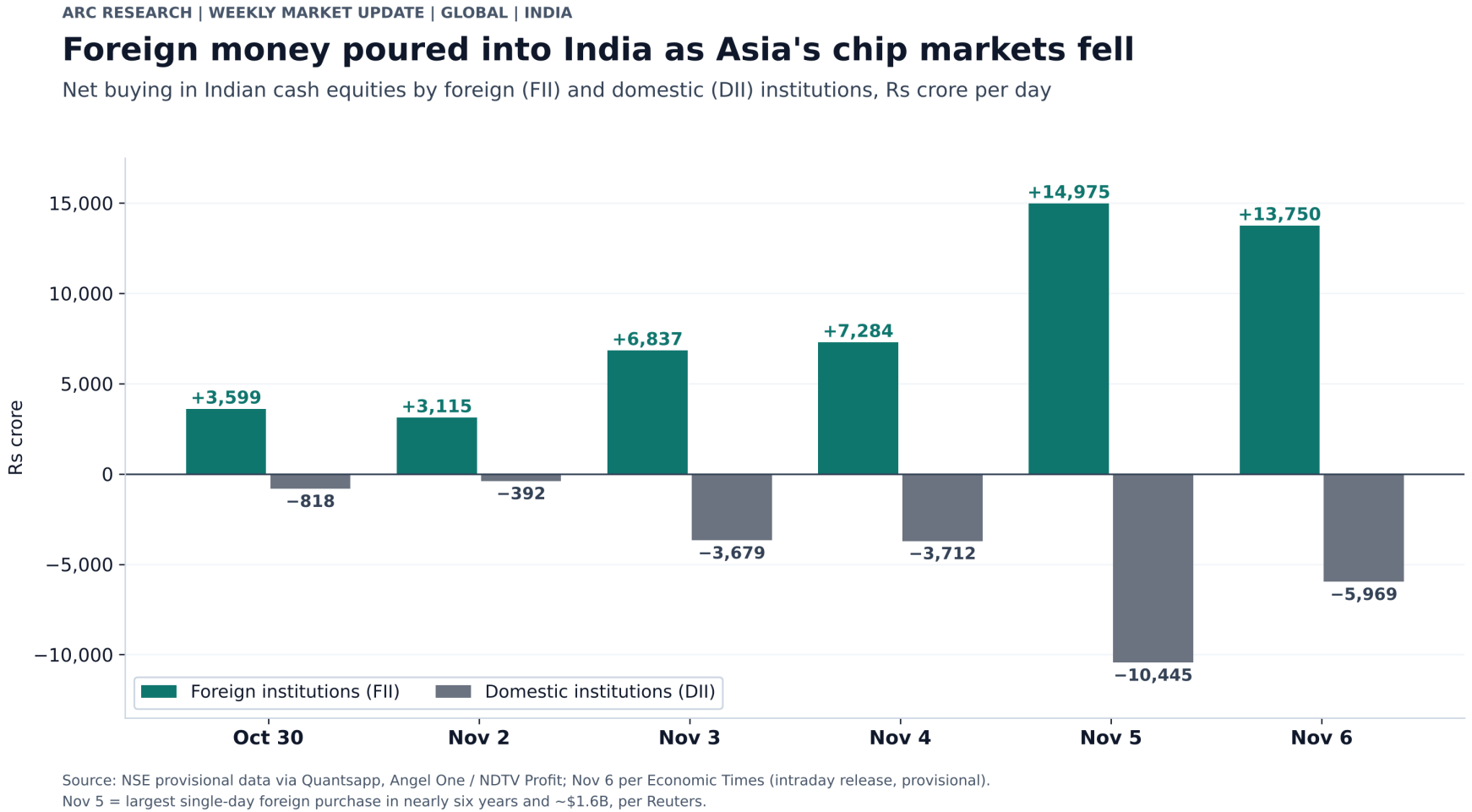
Global: Asia

Money left Korea and Japan’s chip markets for India

47 Record foreign buying
48 India sectors and valuations
49 Asia on Friday: map
50 Korea and Japan
51 South Korea: AI budget

GLOBAL · INDIA FLOWS

Foreign money poured into India



Source: NSE provisional data via Quantsapp, Angel One / NDTV Profit; Nov 6 per Economic Times (intraday release, provisional).
Nov 5 = largest single-day foreign purchase in nearly six years and ~$1.6B, per Reuters.

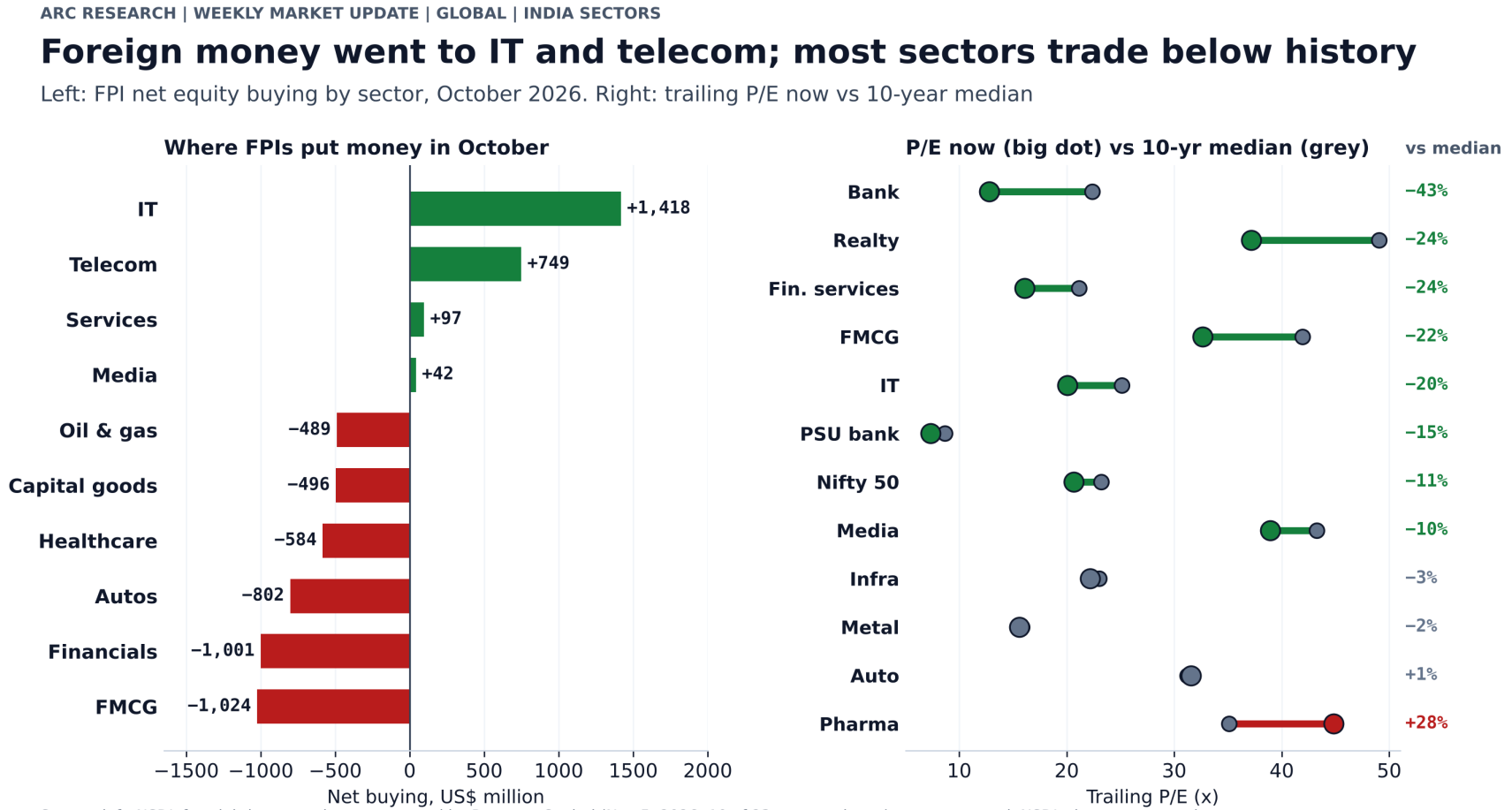
SO WHAT

Nov 5: ~$1.6B, most in ~6 yrs

Buying began pre-election

Domestic funds sold into it

Buying IT and telecom; banks look cheapest



Source: left, NSDL fortnightly sector data as reported by Paterson Capital (Nov 5, 2026; 10 of 23 sectors shown); press-reported, NSDL site not accessed.
Right: IndexPE (aggregator of NSE daily index P/E; median method not published), Nov 5-6, 2026; current values cross-checked with craytheon.com. Trailing 12-month P/E.

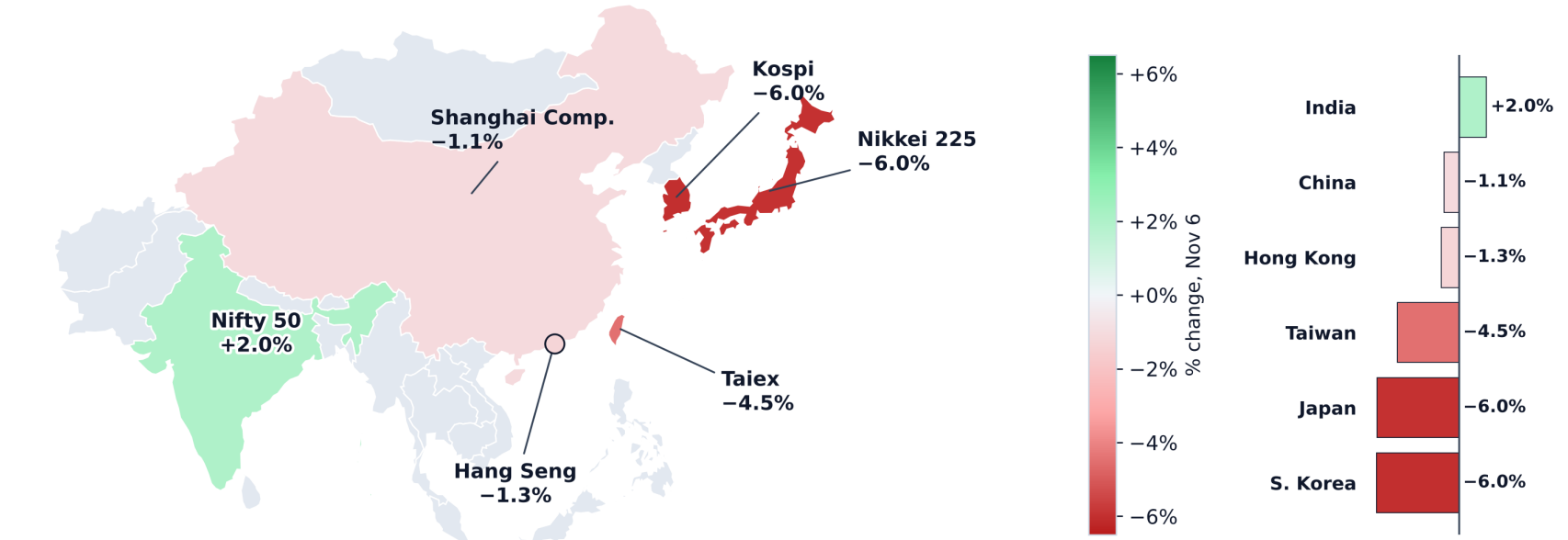
SO WHAT

IT +$1.4B, telecom +$0.7B

Banks 43% below 10-yr P/E

Pharma the one premium

India up, Asia’s chip markets down hard



Source: Yahoo Finance closing quotes (Nifty 50, Kospi, Nikkei 225, Taiex, Shanghai Composite, Hang Seng); our calculation. Matches Reuters' rounded figures. Map geometry: Highcharts map collection (Natural Earth).

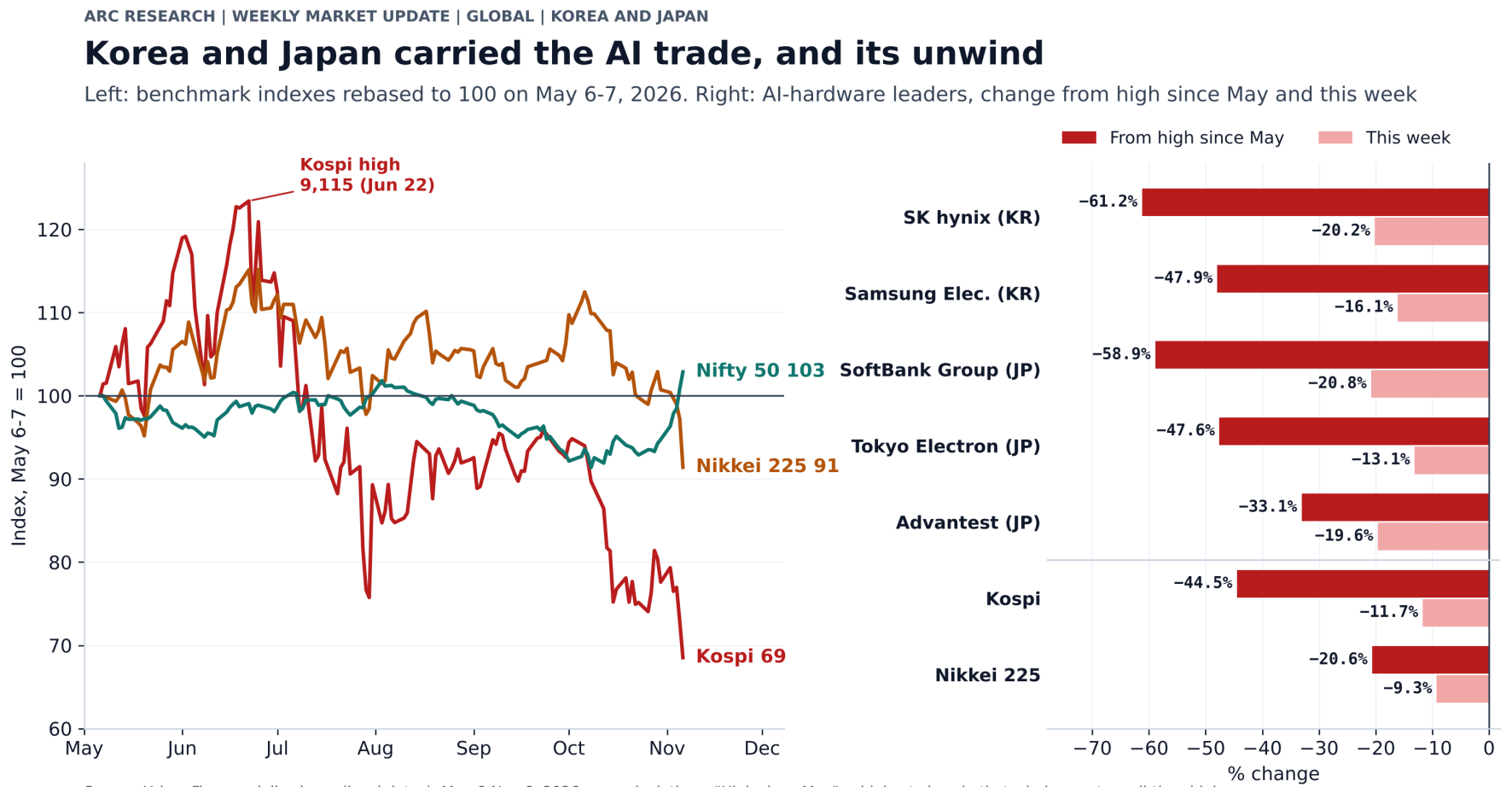
SO WHAT

Nifty +2.0%, best week since 2021

Kospi, Nikkei −6.0%

China, HK fell ~1%

Korea and Japan took the AI unwind



Source: Yahoo Finance daily closes (local dates), May 6-Nov 6, 2026; our calculations. "High since May" = highest close in that window, not an all-time high.
Week = Oct 30 to Nov 6 close. Kospi topped 9,000 for the first time on Jun 18 (Korea Times, The Star).

SO WHAT

Kospi −45% from June high

Foreigners sold ₩2.8T Friday

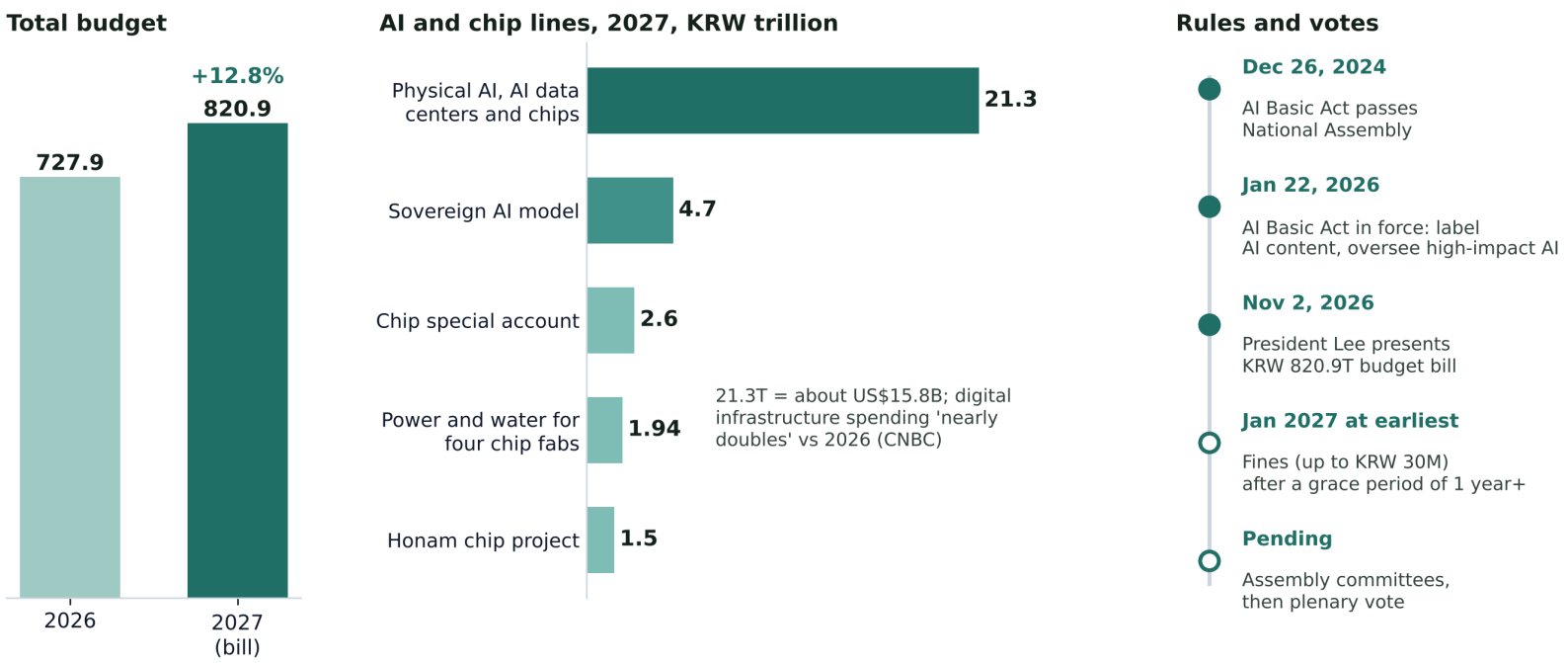
Nikkei −9.3%: worst week since 2025

Korea’s 2027 budget bets on AI and chips

ARC RESEARCH | WEEKLY MARKET UPDATE | GLOBAL: ASIA | SOUTH KOREA AI BUDGET

Korea's 2027 budget bets on AI and chips

Left: total government spending, KRW trillion. Middle: AI and chip lines in the 2027 budget bill. Right: where the rules stand



Source: w.media citing CNBC (Nov 2, 2026); Korea JoongAng Daily (Sep 1, 2026); The Next Web (Jul 13, 2026; 2026 total); Korea Ministry of Science and ICT (AI Basic Act passage); KoreaTechDesk (enforcement, fines). The budget bill was presented on Nov 2 and still needs a National Assembly vote. Middle bars are selected lines and overlap (not additive).

SO WHAT

Budget bill +12.8% to ₩820.9T, tabled Nov 2

₩21.3T for AI data centers, chips, physical AI

Not yet passed; AI law fines start 2027 at earliest

ARC RESEARCH VIEW (A VIEW, NOT ADVICE)

Relief rally, not repair: four signposts

1 · Earnings revisions

Risk premium up: need EPS upgrades

Watch: forward EPS, 10-yr vs 5%

2 · Trend repair

Nasdaq below its 200-day

Watch: 25,100 Nasdaq, 7,325 S&P

3 · Rotation

Broadening or just hiding?

Watch: RSP/SPY on Nasdaq down days

4 · Stress gauges

Forced selling may not be done

Watch: VIX below 20, India FII flows

SOURCES

Where the numbers come from

Prices · Yahoo Finance daily closes (indexes, sector ETFs, RSP/SPY, VIX, stocks, Asia); our calculations

Flows · JPMorgan via Bloomberg (Yahoo republication); Goldman via Reuters

Earnings · FactSet; company 8-Ks and releases; Yahoo Finance

Asia · NSE, NSDL via Business Standard, Paterson; IndexPE; Seoul Economic Daily; Reuters

Cross-checks · Motley Fool, Yahoo live blog, Saxo, StockTitan, Cappnotes, Tapeboard

Vol & bonds · Cboe via Saxo; US Treasury par yield curve

Health care · LSEG Lipper, LSEG I/B/E/S via Reuters; IG

Midterms & history · ABC News, Fox Business; LSEG / FTSE Russell, First Trust

"Ours" = ARC Research calculation. Dropped as unverifiable: see notes. Educational purposes only, not investment advice.